■ প্রশ্ন কমনের প্রমাণ পত্র ■

প্রমাণপত্র : ২০২৪ সালের [illegible] পুরাতন সাজেশন্স থেকে কমনকৃত প্রশ্নের হার ৯৮%।

National University

[BBA Hon's 3rd Year; Exam-2024 (Held on- 18/01/2026)]

(Department of Accounting)

Subject Code : 232513

Subject Name : Financial Management (In English)

Time : 4 hours; **Full marks :** 80

[**N.B.** Different parts of each question must be written consecutively.]

Part-A

1. Answer any **ten** questions : $1 \times 10 = 10$

(a) What is business ethics? *[অধ্যায়-০১ এর ১৫ নং প্রশ্ন কমন পড়েছে]*

(b) What is tax shield? *[অধ্যায়-০২ এর ২৮ নং প্রশ্ন কমন পড়েছে]*

(c) What is corporate social responsibility? *[অধ্যায়-০১ এর ২৬ নং প্রশ্ন কমন পড়েছে]*

(d) Elaborate CAPM. *[অধ্যায়-০৩ এর ১০ নং প্রশ্ন কমন পড়েছে]*

(e) What is risk? *[অধ্যায়-০২ এর ২৯ নং প্রশ্ন কমন পড়েছে]*

(f) What is dividend payout ratio? *[অধ্যায়-০৪ এর ০৬ নং প্রশ্ন কমন পড়েছে]*

(g) What is Stock Splits? *[অধ্যায়-০৪ এর ১০ নং প্রশ্ন কমন পড়েছে]*

(h) What is flotation costs? *[অধ্যায়-০৪ এর ০৫ নং প্রশ্ন কমন পড়েছে]*

(i) Define Initial Public Offering (IPO). *[অধ্যায়-০৫ এর ০৭ নং প্রশ্ন কমন পড়েছে]*

(j) What is self liquidating approach? *[অধ্যায়-০২ এর ১২ নং প্রশ্ন কমন পড়েছে]*

(k) What is bird-in-hand theory? *[অধ্যায়-০৪ এর ০৬ নং প্রশ্ন কমন পড়েছে]*

(l) What is sale and lease back? *[অধ্যায়-০৬ এর ০৫ নং প্রশ্ন কমন পড়েছে]*

Part-B

[Answer any **five** questions.] Marks : $4 \times 5 = 20$

2. Show the difference between profit maximization and wealth maximization. *[অধ্যায়-০১ এর ১২ নং প্রশ্ন কমন পড়েছে]*
3. What are the techniques of capital budgeting? *[অধ্যায়-০২ এর ০৪ নং প্রশ্ন কমন পড়েছে]*
4. Show the differences between bond and common stock. *[অধ্যায়-০৫ এর ০৫ নং প্রশ্ন কমন পড়েছে]*
5. Briefly explain the financial signaling of dividend policy. *[অধ্যায়-০৪ এর ০৫ নং প্রশ্ন কমন পড়েছে]*
6. *[অধ্যায়-০২ এর **Problem-03** নং প্রশ্নের (হুবহু) কমন পড়েছে]*
7. *[অধ্যায়-০৩ এর **Problem-02** নং প্রশ্নের (অনুরূপ) কমন পড়েছে]*
8. *[অধ্যায়-০৪ এর **Problem-06** নং প্রশ্নের (হুবহু ইজিপ্রাস) কমন পড়েছে]*
9. *[অধ্যায়-০৭ এর **Problem-03** নং প্রশ্নের (অনুরূপ) কমন পড়েছে]*

Part-C

[Answer any **five** questions.] Marks : $10 \times 5 = 50$

10. (a) Define the notion of arbitrage. *[অধ্যায়-০৩ এর ০২ (ক) নং প্রশ্ন কমন পড়েছে]*

    (b) How agency problems are dealt with? *[অধ্যায়-০১ এর ১৪(ক) নং প্রশ্ন কমন পড়েছে]*

11. (a) What are the objectives of lease financing as organized in Bangladesh? *[অধ্যায়-০৬ এর ০৬ নং প্রশ্ন কমন পড়েছে]*

    (b) What factors affect dividend policy? *[অধ্যায়-০৪ এর ০২ (ক) নং প্রশ্ন কমন পড়েছে]*

12. *[অধ্যায়-০২ এর **Problem-15** নং প্রশ্নের (অনুরূপ) কমন পড়েছে]*
13. *[অধ্যায়-০৩ এর **Problem-39** নং প্রশ্নের (হুবহু) কমন পড়েছে]*
14. *[অধ্যায়-০২ এর **Problem-17** নং প্রশ্নের (অনুরূপ) কমন পড়েছে]*
15. *[অধ্যায়-০৫ এর **Problem-13** নং প্রশ্নের (হুবহু) কমন পড়েছে]*
16. *[অধ্যায়-০৬ এর **Problem-05** নং প্রশ্নের (হুবহু) কমন পড়েছে]*
17. *[অধ্যায়-০৭ এর **Problem-13** নং প্রশ্নের (হুবহু) কমন পড়েছে]*

National University

[BBA (Hon's) 3rd Year; Exam-2025 (Will be held-2026/27)]

Subject Code : 232513

Subject Name : Financial Management (In English)

[Baticrom latest Final Suggestions]

হিসাববিজ্ঞান বিভাগের ছাত্রছাত্রীদের জন্য

Chapter 01 Goals and Functions of Finance

(অর্থায়নের লক্ষ্য ও কার্যাবলি)

Part-A (Brief Questions) :

ooo 01. **What is finance? (অর্থায়ন কী?)** *[N.U. 4th Mgt-2018]*

Ans : Finance may be defined as the art and science of managing money.

02 **What is meant by financial management?**

Or, What is financial management? 99%

(আর্থিক ব্যবস্থাপনা কী?) *[N.U. 2012, 2014, Acc 3rd-2016, 2020; (Finance 3rd)-2016, 2018, 2020; 2019 (Mgt 4rth); 2022 (Acc.); D.U. Acc-2017]*

Or, Define financial management.

(আর্থিক ব্যবস্থাপনার সংজ্ঞা দাও।)

Ans. Financial management means planning, organizing, directing and controlling the financial activities such as procurement and utilization of funds of the enterprise.

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 03. **Who is a financial manager?** 99%

(আর্থিক ব্যবস্থাপক কে?) *[N.U. (Finance 3rd)-2017]*

Ans: The person who plays the role to active financial management is called financial manager.

o 04. **What is financing decision? (অর্থসংস্থান সিদ্ধান্ত কী?)**

Ans : Financing decision determines when, where and how to acquire funds to meet the firm's investment needs.

ooo 05. **What do you mean by investment decision?**

Or, What is investment decision? (বিনিয়োগ সিদ্ধান্ত কী?) 99% *[N.U. 2014; (Finance 3rd)-2017]*

Ans : Investment decision involves the decision of allocating capital to long-term assets that are expected to generate benefits in the future.

ooo 06. **What is dividend decision? (লভ্যাংশ সিদ্ধান্ত কী?)**

Ans : Financial manager must decide whether the firm should distribute all its profits, retain them or distribute a portion and retain the balance. This decision is known as the dividend decision.

oo 07. **What is liquidity decision?**

(তারল্য বা চলতি মূলধনের সিদ্ধান্ত কী?)

Ans : Liquidity decision involves managing current assets efficiently to safeguard the firm against the risks of illiquidity and insolvency.

ooo 08. **What is profit maximization?**

(মুনাফা সর্বাধিকরণ কী?)

Ans : Profit maximization means the maximization of the level of profit through operating activities of a firm.

09 **What is meant by wealth maximization?** 99%

(সম্পদ সর্বাধিকরণ বলতে কী বুঝ?)

[N.U. Old-2012, 2015; (Finance 3rd)-2018, 2021; 4th Mgt-2017, 2020; 2021 (Acc.3rd)]

Or, What is wealth maximization?

(সম্পদ সর্বাধিকরণ কী?)

Or, Define wealth maximization .

Or, What do you mean by wealth maximization?

Ans : Wealth maximization means maximizing the net present value or wealth of a course of action for the shareholders.

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 10. **What is economic value added (EVA)?**

(অর্থনৈতিক মূল্য (EVA) কী?)

Ans : EVA is a popular measure used by many firms to determine whether a proposed or existing investment contributes positively to the owner's wealth.

ooo 11. **What is public finance? (সরকারি অর্থব্যবস্থা কী?)**

Ans : Financing by federal, state, local governments and municipal corporations is known as public finance.

ooo 12. **What is international finance? 99%**
(আন্তর্জাতিক অর্থায়ন কী?)

Ans : International finance includes foreign direct investment, investment cash flows and decisions, capital structure, long-term debt and equity capital.

oo 13. **Who is treasurer? (কোষাধ্যক্ষ কে?)**

Ans : The treasurer is financial manager of a firm. The treasurer's functions are secondary and external works and relate to the liability side of the balance sheet.

ooo 14. **Who is controller? (নিয়ন্ত্রক কে?)**

Ans : The controller is manager of a firm. The controller's functions are related with primary and internal works of the firms and concentrate the asset side of the balance sheet.

15. What is business ethics? [২০২৪ সালে যা এসেছিল]
[N.U. Acc 3rd-2019, 2024
Or, What do you mean by business ethics?
(ব্যবসায়ের নৈতিকতা বলতে কী বুঝায়?)
***Ans :** The standards of conduct by which one's actions are judged as right or wrong, honest or dishonest, fair or unfair in the business environment.*

ooo 16. **What is social responsibility?**
(সামাজিক দায়িত্ব বলতে কী বুঝ?) *[N.U. 2013, 2016]*

Ans : Social responsibility refers to the betterment of different interested group within a society.

ooo 17. **What is agency problem? (এজেন্সি সমস্যা কী?) 99%**
[N.U. 3rd (Acc)-2015, 2020, 2023; (Finance 3rd)-2016, 2019; 4th Mgt- 2017, 2020]
Or, What is termed as agency problem?
(এজেন্সি সমস্যার ধরন কী?)

Ans : The probability conflict of interest between the shareholders and management of a firm is known as agency problem.

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 18. **What is a financial institution?**
(অর্থনৈতিক প্রতিষ্ঠান কী?)

Ans : Financial institution serves as intermediaries by channeling the savings of individuals, businesses and governments into loans or investments.

ooo 19. **What is securities exchange?**
(সিকিউরিটি এক্সচেঞ্জ কী?)

Ans : The securities exchange is the formal organizations that has physical location and exist to bring together buyers and sellers of securities in the secondary market.

ooo 20. **What is corporate governance?**
(কর্পোরেট সুশাসন কী?) 99%
[N.U. 2014; 4th Mgt-2018]
Or, Define corporate governance.
(কর্পোরেট সুশাসনের সংজ্ঞা দাও।)

Ans : Corporate governance is the system, in which a corporation is governed and deals with the various interests of its consumers, shareholders, employees and society at large.

oo 21. **Which subject is closely related with finance?**
(অর্থনীতির সাথে কোন বিষয়টি অধিক সম্পর্কযুক্ত?)

Ans : The field of finance is closely related to economics. And finance is the applied subject of economics.

ooo 22. **What is business finance? (ব্যবসায় অর্থায়ন কী?)**

Ans : Business finance may be defined as the process of raising, providing and managing of all the money to be used in connection with business activities.

ooo 23. **What is corporate finance? (কর্পোরেট অর্থায়ন কী?) 99%** *[N.U. Acc 3rd-2017, 2023]*

Ans : The financial activity of corporation is called corporate finance.

ooo 24. **What is agency cost? (প্রতিনিধিত্বের ব্যয় কী?) 99%**
[D.U. Acc-2017; N.U. (Old) 2012; Acc 3rd- 2017, 2021]

Ans : The costs borne by the stockholders to maintain the governance structure that minimizes agency problems and contributes to the maximization of owner's wealth.

ooo 25. **What is hurdle rate? (হার্ডলি হার কী?)** *[N.U. 2015]*

Ans. Hurdle rate is the minimum rate that a company expects to earn when investing in a project.

26. What is corporate social responsibility? (কর্পোরেট সামাজিক দায়বদ্ধতা কী?)
Or, What is CSR? [২০২৪ সালে যা এসেছিল]
[N.U. 2012, 2013; 2016, 20243rd); 4th Mgt-2019]
***Ans :** Corporate social responsibility is a business outlook that acknowledges a firms responsibilities to its stakeholders and natural environment.*

ooo 27. **Elaborate CSR. (CSR-এর বর্ধিত রূপ লিখ।)**

Ans. CSR-এর বর্ধিত রূপ হলো- Corporate Social Responsibility.

ooo 28. **"Profit maximization is the ultimate goal of a firm."- Is it true?**

Ans : False. "Wealth maximization is the ultimate goal of a firm".=

Part- B & C (Short & Broad Questions) :

✪✪✪ 01. **Discuss the managerial functions of finance.** 99% *[N.U.BBA (Hon's) (Finance) -2018]*
[Ans : হিসাববিজ্ঞান ইন্টেলেক্স (৪র্থ খণ্ড) বইয়ের 240 Page 1.07 No.]

✪✪ 02. Why is profit maximization not the ultimate goal of the firm? **[Ans : 249 Page 1.29 No.]**
[টেস্ট পরীক্ষা- তিতুমীর, সিদ্ধেশ্বরী গালস, মনসুর, সাতক্ষীরা, কুমিল্লা ভিক্টোরিয়া কলেজ; N.U. 2007, 2014]

✪✪✪ 03. Discuss the goals and objectives of a financial manager. **[Ans : 243 Page 1.15 No.]**
[N.U. Acc.-2013, 2015; 4th Mgt-2018]

✪✪✪ 04. Describe financial goals in terms of financial management. **[Ans : 251 Page 1.35 No.]**
Or, Discuss the objectives of financial management. *[N.U. Acc- 2017]*

✪✪✪ 05. **Discuss the role of a financial manager.** 99% **[Ans : 241 Page 1.08 No.]** *[N.U. Acc- 2012, 2018]*

✪✪ 06. Discuss in brief the internal factors affecting financial decisions. **[Ans : 239 Page 1.02 No.]** *[N.U. Acc- 2012]*

✪✪ 07. Discuss the principles of business finance. **[Ans : 239 Page 1.04 No.]** *[N.U. 2013, 2019]*

✪✪✪ 08. (a) Define financial management. **[Ans : 240 Page 1.05 No.]** *[N.U.BBA (Hon's)- 2019]*
(b) Discuss social responsibility of financial management. **[Ans : 244 Page 1.17 No.]**
[টেস্ট পরীক্ষা- তিতুমীর, সিদ্ধেশরী গার্লস, মনসুর আলি, সাতক্ষিরা সরঃ কলেজ; N.U. 2014, 2019 (Acc.)]

✪✪✪ (09) **Do you think wealth maximization is better than profit maximization concept? Why?** 99%
[Ans : 248 Page 1.25 No.] *[N.U.2016, 2020 (Acc)]*
[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

✪✪ 10. **What do you know about corporate social responsibility (CSR)? [Ans : 244 Page 1.16 No.]**
[N.U. 2020 (Acc)]

✪✪✪ 11. **(a) Explain the concept of corporate governance.** 99% **[Ans : 250 Page 1.31 No.]**
Or, What is corporate governance? *[N.U. 2012, 2017, 2020 (Acc)]*
(b) State the principles of corporate governance. 99% **[Ans : 250 Page 1.32 No.]** *[N.U. 2012, 2020 (Acc)]*

✪✪ 12. Discuss the major Principles of financial management. **[Ans : 240 Page 1.06 No.]** *[N.U. 2021 (Acc)]*

✪✪ 13. Discuss the corporate finance. **[Ans : Page No 251; Ques. No 1.33]** *[N.U. (Acc.) 2022]*

✪✪✪ 14. **Briefly discuss the importances of corporate social responsibility of a business.** 99%
[Ans : 244 Page 1.18 No.] *[N.U. BBA (Hon's) Acc-2016, 2022]*

✪✪✪ 15. **What do you mean by wealth maximization?** 99% **[Ans : 253 Page 1.40 No.]** *[N.U. (Acc)- 2019, 2023]*

✪✪✪ 16. **How many factors influencing financial decision?** 99% **[Ans : 253 Page 1.41 No.]**
Or, Discuss the factors influencing financial decisions. *[N.U. 2014, 2017, 2023 (Acc.); 2018, 2016 (Finance)]*

✪✪✪ (17) **(a) Discuss the importance of financial management.** 99% **[Ans : 243 Page 1.14 No.]**
Or, Why financial management is important for a business entity? Discuss it.
[N.U. 2015, 2018, 2020, 2023 (Acc.);2018 (Finance.) 2018; 4th Mgt-2017]
Or, Write down the significance of financial management.
(b) Discuss the three major decisions that financial manager must take. 99% **[Ans : 245 Page 1.19 No.]**
Or, Discuss in brief the major decisions that a financial manager takes.
Or, Narrate the three important decisions of financial manager. *[N.U. 2013, 2015, 2018, 2020, 2023 (Acc)]*
Or, What are the mejor corporate dicisions?
[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

2. *Show the difference between profit maximization and wealth maximization.* **[Ans : Page No. 248; Ques. No. 1.26]**
[N.U. 2024 (Acc 3rd)]

10. (b) *How agency problems are dealt with?* **[Ans : Page No. 246; Ques. No. 1.23]**
Or, What is agency problem and discuss briefly potential solution of the problem.
Or, What is agency conflict? How can it be minimized?
Or, How agency problems are dealt with? [N.U. BBA (Hon's)2012, 2013 Acc-2016, 2019, 2021, 2022, 2024 (Acc 3rd)]
Or, Discuss in brief the various techniques of overcoming agency problem.

Help Line ***Dear Students, In above Suggestions Part-B and Part-C : 01, 05, 09, 14 & 17 No. Questions in are most important for the Examinee of 2025. ..... Editor***

Chapter 02 Capital Budgeting and Risk Analysis
(মূলধন বাজেটিং এবং ঝুঁকি বিশ্লেষণ)

Part-A (Brief Questions) :

01. What do you mean by capital budgeting? Or, What is capital budgeting? (মূলধন বাজেটিং কী?) 99%

[N.U. Acc-2016; (Finance 3rd)-2018; 2019 (Mgt); D.U. Acc-2017]

Ans : Capital budgeting is the technique which is followed to evaluated the investment decision.

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

02. What is uncertainty? (অনিশ্চয়তা কী?)

Ans : Uncertainty refers to the outcomes of given event which are ,too unsure to be assigned probabilities.

03. What is independent project? (স্বাধীন প্রকল্প কী?)

Ans : A project whose acceptance (or rejection) does not prevent the acceptance of the other projects under consideration.

04. What is mutually exclusive project? 99%
(পারস্পরিক বর্জনশীল প্রকল্প কী?)

[N.U. Acc 3rd-2018, 2020, 2023]

Ans : A project whose acceptance precludes the acceptance of one or more alternative projects is called a mutually exclusive project.

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

05. What is certainty equivalent approach? (নিশ্চয়তা সমতুল্য পদ্ধতি কী?)

Ans : A formalized method for a adjusting the cash flows is called the certainty equivalent approach.

06. What is correlation? (সহ-সম্বন্ধ কী?) 99%

Ans : A statistical measure of the relationship between any two series of numbers representing data of any kind. *[N.U. Acc 3rd-2017]*

07. What is correlation coefficient? (সহ-সম্বন্ধ সহগ কী?)

Ans : A correlation coefficient is a standardized statistical measure of the linear relationship between two variables.

08. What is expected value? 99% **(প্রত্যাশিত মূল্য কী?)**

Ans : The weighted average of possible outcomes, where the weights are the probabilities of each outcome occurring.

09. What is probability? (সম্ভাব্যতা কী?)

Ans : Probability is an expression that indicates a degree of uncertainty about the happening of the event.

10. What is probability distribution? (সম্ভাবনা বিন্যাস কী?)

Ans : When probability theory is used in analyzing risk in capital budgeting is called probability distribution.

11. What is standard deviation? (পরিমিত ব্যবধান আদর্শ বিচ্যুতি কী?)

Ans : This method is used to measure the average deviation of estimated values from the expected value.

12. What is self liquidating approach? [২০২৪ সালে যা এসেছিল] *[N.U. 2024 (Acc 3rd)]*

***Ans :** A self-liquidating approach is a financial or marketing strategy where an investment, project or acquisition cost is repaid or covered by the revenue it generates itself.*

13. What is range? (পরিসর কী?)

[N.U. 2012, 2015; 2019 (Finance 3rd); 2018 (Mgt 4rth)]

Ans : The difference between the highest expected value and the lowest expected values is known as range.

14. What is cash conversion cycle (CCC)? 99%

[N.U. 4th Acc-2015, 2018, Mgt-2018, Finance-2019; Acc 3rd-2018, 2023]

Ans : The flow of cash from purchase of inventory to production, from production to sell of goods and collection of receivables and again purchase of raw material can be termed as the cash conversion cycle.

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

15. What is an opportunity cost? (সুযোগ ব্যয় কী?)

Ans : What is lost by not taking the next best investment alternative is called opportunity cost.

16. What is sunk cost? (নিমজ্জিত ব্যয় কী?)

Ans : A sunk cost is one that has already occurred and is not affected by the capital project decision.

17. What are the decisions of capital budgeting? (মূলধন বাজেটিং-এর সিদ্ধান্তসমূহ কি কি?)

Ans : (a) Accept-Reject Decision;
(b) Mutually Exclusive Decision and
(c) Capital Rationing Decision.

18. What is discount cash flow method? (নগদ প্রবাহ বাট্টা পদ্ধতি কাকে বলে?)

Ans : The measure of investment worth that considers the timing of cash flows, and utilized the concept of the present value of a future sum is known as discount cash flow method.

০০০ 19. **What is payback period?**
(পরিশোধ সময় কী?) 99% *[N.U. Acc 3rd- 2020]*
Ans : The payback period is the time required for the firm to recover its initial investment in a project, as calculated from cash flows.

০০০ 20. **What is discounted payback period?**
(বাট্টা পরিশোধ সময় কী?)
Ans : The number of periods it takes to recover the investment outlay on a present value basis is called the discounted payback period.

০০০ 21. **What is Average rate of return?**
(গড় উপার্জন হার কী?)
Ans : The average rate of return is capital budgeting method that compares average after tax net cash inflow to average investment.

০০০ 22. **What is net present value?**
(নিট বর্তমান মূল্য কী?) *[N.U. Acc 3rd- 2016]*
Ans : Net Present Value is the present value of an investment project's net cash flows minus project's initial cash outflows.

০০০ 23. **Define internal rate of return.** 99%
[N.U. 2012; Acc 3rd- 2016, 2019, 2021, 2023]
Or, What is Internal Rate of Return (IRR)?
(অভ্যন্তরীণ উপার্জন হার কী?)
Ans : The internal rate of return is the discount rate that equates the sum of the present values of series cash inflows with the initial investment.

০০০ 24. **What is profitability index?**
(মুনাফা লভ্যতা সূচক কী?)
Ans : Profitability index may be defined as the ratio which is obtained by dividing the sum of present value of future cash inflows by the present value of the cash outlay.

০০০ 25. **What do you mean by capital rationing?** 99%
(মূলধন বরাদ্দকরণ বলকে কী বুঝ?)
Or, What is capital rationing?
(মূলধন বরাদ্দকরণ কী?) *[N.U. 4th Mgt-2018, 2020]*
Ans : Capital rationing refers to the choice of investment proposals under financial constraints in terms of a given size of capital.

০০০ 26. **What is sensitivity analysis?** *[N.U. 2013]*
(সংবেদনশীলতা বিশ্লেষণ কী?)
Ans : Sensitivity analysis is a behavioral approach that uses several possible values for a given variable to assess that variable's impact of the firm's return.

০০০ 27. **What is scenario analysis? (দৃশ্যপট বিশ্লেষণ কী?)** 99% *[N.U. 2015; (Finance 3rd)-2017]*
Ans : Soenario analysis is a process of analyzing possible future events by considering alternative possible outcomes (secnarios).

০০০ 28. **What is simulation?** *[N.U. (Mgt 4th)-2020]*
Or, Define simulation (সিমুলেশনের সংজ্ঞা দাও।)
Ans : Simulation is a statistics based behavioral approach that applies predetermined probability distributions and random numbers to estimate risky outcomes.

29. What is tax shield? [২০২৪ সালে যা এসেছিল]
[N.U. 4th Mgt-2017, 2019; D.U. Acc-2017]
Ans. *A tax deductible expense. The expense protects (Shields) an equivalents taka amount of revenue from beings taxed by reducing taxable income.*

30. Define risk. [২০২৪ সালে যা এসেছিল]
Or, What is risk? (ঝুঁকি কী?)
[N.U. Old-2014, Acc-2017, 2024; (Finance 3rd)- 2017; 4th Mgt-2017]
Ans : *Risk may be defined as the variability of possible outcomes from a project.*

০০০ 31. **Write down the elaboration of RADR.**
Or, Elaborate RADR. 99%
[N.U. Acc 3rd-2016, 2020; (Finance)- 2016; 4th Mgt-2017, 2019; 2022 (Acc.)].
Ans : The elaboration of RADR is Risk-Adjusted Diseount Rate.
[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ 32. **What is risk premium? (ঝুঁকি প্রিমিয়াম কী?)**
Ans : The excess return required from an investment in a risky assets over that required from a risk free investment is known as the risk premium. *[N.U. Acc 3rd- 2018]*

০০ 33. **What is return? (আয় কী?)**
Ans : The total gain or loss experienced on an investment over a given period of time.

০০০ 34. **What is portfolio risk?** 99%
[N.U. 2014; (Finance 3rd)- 2018, 2021]
Ans. Portfolio revenues are known to be a portfolio risk.

০০০ 35. **What do you mean by RADR?** 99%
Or, What is risk adjusted discount rate (RADR)? (ঝুঁকি সমন্বিত বাট্টা হার কী?)
Or, What is RADR?
[N.U. 2014; 2016, 2020 (Finance 3rd)]
Ans : Risk adjusted discount rate is the discount rate that reflects the risk of a particular capital budgeting project.

০০ 36. **What is co-efficient of variation?**
(ব্যবধানাঙ্ক কী?)
Ans : The ratio of the standard deviation of a distribution to the mean of that distribution. It is a measure of relative risk.

০০০ 37. **What is growth firm?**
Or, What do you mean by growing company?
[N.U. (Mgt 4rth)- 2017; (Finance 3rd)- 2016]
Ans. The firm which rate of return is higher than its cost of capital is called growing company.

✪✪✪ 38. **What is beta?** *[N.U. (Finance 3rd)- 2016]*

Ans. Beta is an index of the degree of movement of an asset's return in response to a change in the market return.

✪✪✪ 39. **What is risk free rate of return?** *[N.U. (Finance 3rd)- 2019]*

Ans. Risk free rate of return is a return obtainable from default risk free government security.

✪✪✪ 40. **What do you mean by systematic risk?** 99% *[N.U. (Finance 3rd)- 2020]*

Ans. Systematic risk refers to the risk inherent to the entire market or market segment.

✪✪✪ 41. **What are the two components of return?** *[N.U. (Finance 3rd)- 2020]*

Ans. Two components of return are income, which includes interest payments on fixed income investment, and dividends from stocks that an investor receives.

Part-B & C (Short & Broad Questions) :

✪✪✪ 01. Defined capital budgeting. **[Ans : ব্যাচিক্রম হিসাববিজ্ঞান হাইলাইটস (৪র্থ খণ্ড) বইয়ের 257 Page 2.01 No.]**
Or, What do you mean by capital budget?

✪✪✪ 02. **Describe the importance of capital budgeting.** 99% **[Ans : 258 Page 2.04 No.]** *[N.U. Acc- 2017]*
Or, Duscuss the advantages/objective of capital budget?

✪✪ 03. Show the process of capital budgeting. **[Ans : 258 Page 2.03 No.]**
Or, Discuss the steps of capital budgeting.

✪✪✪ 04. **(a) What is meant by risk?** 99% **[Ans : 266 Page 2.32 No.]** *[N.U. BBA-2006, 2008, 2011]*
Or, What is risk?
(b) Explain the CE approach of adjusting risk budgeting. 99% **[Ans : 268 Page 2.30 No.]** *[N.U. 2012, 2014]*

✪✪ 05. What are the basic criteria for accept-reject decision for different techniques of capital budgeting? **[Ans : 270 Page 2.48 No.]** *[N.U. Acc-2014, 2016]*

✪✪✪ (06) **Define : (a) NPV, (b) ARR** 99% **[Ans : 260 Page 2.10+2.11 No.]** *[N.U. 2021 (Acc)]*

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

✪✪ 07. Distinguish between certainty equivalent approach and risk adjusted discount rate approach. **[Ans : 265 Page 2.31 No.]**
[টেস্ট পরীক্ষা- তিতুমীর, সা'দত, কুমিল্লা ডিঃ মনসুর আলি, সাতক্ষীরা সিটি কলে; D.U. 2017 (Acc.); N.U. 2016 (Finance)]

✪✪✪ (08) **Show the difference between risk and uncertainty.** 99% **[Ans : 268 Page 2.27 No.]**
Or, Distinguish between risk and uncertainty? *[N.U. BBA-2009, 2011; Acc-2018, 2023]*

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

3. What are the techniques of capital budgeting? **[Ans : Page No. 259; Ques. No. 2.06]**
Or, Discuss in brief the techniques of capital budgeting.
[টেস্ট পরীক্ষা- কবি নজরুল, সা'দত, সিদ্ধেশ্বরী, গার্লস, বিএম,হাবিবুল্লাহ, এডওয়ার্ড ও যশোর সিটি কলেজ; N.U. 2012, 2013, 2015, 2024]

Help Line ***Dear Students, In above Suggestions Part-B and Part-C : 04, 06 & 08 No. Questions in are most important for the Examinee of 2025. ..... Editor***

গাণিতিক সমস্যাবলি ও সমাধান (Mathematical Problems & Solution)

Easy Math Basic Problem : Category-B & C

1. Capital Budgeting

✪✪✪ **Problem-01** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Acc.) 2020 No–04**

The City Company Ltd. has two projects. Project A and project B. Project A requires an initial outlay of Tk. 10,00,000 and the expected cash flows of Tk. 2,50,000 each of the next 5 years. Project B requires an initial outlay of Tk. 12,00,000 and the expected cash flows of Tk. 2,80,000 each of the next 5 years. Using payback period method, which project do you recommend for the company? Why?

Solution : ব্যাচিক্রম হিসাববিজ্ঞান হাইলাইটস (৪র্থ খণ্ড) বইয়ের ২৭৪ পৃষ্ঠার **Problem-05** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-02** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2023 No–9**

Ariha Ltd. considering two mutually exclusive project. Project A and project B. Project A requires an initial outlay of Tk. 40,000 and the expected cash inflows of Tk. 10,000 each of the next 5 years. Project B requires an initial outlay of Tk. 50,000 and has an expected cash inflows of Tk. 13,000 for each of the next 5 years. Use pay back period method which project do you recommend for the company.

Solution : ২৭৪ পৃষ্ঠার **Problem-04** নং প্রশ্নের উত্তর দেখুন।

০০০ (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

XX **Problem-03** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 4th Year Mgt. 2018 No– 04; 3rd Acc. 2024 No–6**

Nayeem Company estimates that it can save Tk. 28,000 a year in cash operating costs for next 10 years if it buys a machine at cost Tk. 1,10,000. No residual value is expected. Assume that income tax rate is on an average 30% of taxable income, Compute the payback period.

Solution : ২৭৫ পৃষ্ঠার **Problem-07** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-04** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting 2016 No–11**

Green Ltd. is considering two mutually exclusive projects. The expected cash flows of each project are given below :

Year	Project- A	Certainty equivalent	Project-B	Certainty equivalent
0	(3,00,000)	1.0	(3,00,000)	1.0
1	1,00,000	0.95	2,00,000	0.90
2	2,00,000	0.90	2,00,000	0.80
3	2,00,000	0.85	2,00,000	0.70
4	3,00,000	0.80	3,00,000	0.60
5	3,00,000	0.75	4,00,000	0.50

The company has decided to evaluate these projects using certainty equivalent method. Company's normal required rate of return is 15% and after tax risk free rate of return is 8%.
Which project should be selected?

Solution : ২৭৭ পৃষ্ঠার **Problem-12** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-05** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2019 No–8**

Bata Shoe Ltd. is evaluating a project with a beta of 1.50. The project has expected CFAT of Tk. 5,000 per year for four years, with an initial investment of Tk. 12,000. The risk-free rate is 8% and the market risk premium is 8%. You are required to determine whether the project should be accepted or rejected.

Solution : ২৭৮ পৃষ্ঠার **Problem-13** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-06** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting- 2022 No–04**

Micro system is evaluating a Tk. 50,000 project with the following cash flows :

Year	Cash flows
1	9,000
2	12,000
3	18,000
4	16,000
5	24,000

The coefficient of variation for project is 0.726

Based on the following table of the risk-adjusted discount rates. Should the project be under taken? Select the appropriate discount rate and the compute the net present value :

Coefficient of variation	Discount rates
0 – 0.25	6%
0.26 – 0.50	8%
0.51 – 0.75	12%
0.76 – 1.00	16%
1.01 – 1.25	20%

Solution : ২৭৯ পৃষ্ঠার **Problem-15** নং প্রশ্নের উত্তর দেখুন।

০২৫ (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

০০০ **Problem-07** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting 2018 No– 14**

BD Food Limited is considering an investment project with expected life of 4 years. The project requires an initial investment of Tk. 5,00,000. The expected cash inflows and certainty equivalent co-efficient are as follows :-

Year	After tax cash flows	Certainty equivalent co-efficient
1	1,00,000	0.95
2	3,00,000	0.80
3	2,00,000	0.70
4	1,50,000	0.60

The risk free rate of return is 10%

Instructions :

(a) Compute the net present value.
(b) Compute the internal rate of return.
(c) Should the project be accepted?

Solution : ২৮০ পৃষ্ঠার **Problem-17** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-08** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Accounting) 2019 No– 11**

ABC Ltd. has constructed a table, shown below, that gives expected cash inflows and certainty equivalent factors for these cash inflows. These measures are for a new machine with a five year life that requires an initial investment of Tk. 9,50,000. The firm has a 15% cost of capital and the risk free rate is 10% :

Year	CFAT Taka	Certainty equivalent factors
1	4,00,000	1.0
2	4,00,000	0.8
3	4,00,000	0.6
4	4,00,000	0.6
5	4,00,000	0.2

Required :

(a) What is the net present value (unadjusted for risk)?
(b) What is the certainty equivalent net present value?

Solution : ২৮১ পৃষ্ঠার **Problem-18** নং প্রশ্নের উত্তর দেখুন।

০০ **Problem-09** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2019 No–11**

The Babylon Corporation is evaluating two mutually exclusive projects, both of which require an initial outlay of Tk. 1,00,000. Each project has an expected life of five years. The probability distributions associated with the expected cash flows from each project are as follows :

Probability Distribution For Cash Flow

Years 1–5 (the same cash flow each year)

Project A		Project B	
Probability	Cash flow	Probability	Cash flow
0.10	Tk. 35,000	0.10	Tk. 10,000

0.40	40,000	0.20	30,000
0.40	45,000	0.40	45,000
0.10	50,000	0.20	60,000
		0.10	80,000

The normal required rate of return for Babylon Corporation is 10%, but because these projects are riskier than most, it is requiring a higher than normal rate of return on them. Project A requires a 12% rate of return and Project B requires a 13% rate of return.

Requirement : (i) Determine the expected value for each project's cash flow.

(ii) Determine each project's risk-adjusted net present value.

(iii) Which project should be selected and why?

Solution : ২৮৩ পৃষ্ঠার **Problem-20** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-10** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2015 No–11**

Star Restaurant Ltd. is considering two mutually exclusive investment proposals. Their expected cash flow streams are given below :-

Project	NCO	CFBT per year	Life	Tax
A	15,000	5,000	5	40%
B	18,000	5,500	6	40%

After computing PBP the company compares RADR as follows :-

Less than one year	= 5%
1 to 3 years	= 8.5%
3 to 5 years	= 12.50%
Above 5 years	= 15%

Required : Find out the profitable project for the restaurant according to NPV.

Solution : ২৮৬ পৃষ্ঠার **Problem-23** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-11** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Acc.) 2020 No–11; 2023 No–12**

XYZ company Ltd./Tahmid Company Ltd. is considering an investment project with expected life of 5 years. The project requires an initial cash out flow of Tk. 1,00,000. The expected cash flows, certainty equivalent co-efficient and present value of Tk. 1@ 10% are as follows :

Year	CFAT	Certainty equivalent co-efficient	Present value @ 10%
1	Taka 20,000	0.95	0.909
2	60,000	0.80	0.826
3	40,000	0.70	0.751
4	30,000	0.60	0.683
5	15,000	0.50	0.621

The risk free rate of return is 10%. Compute the NPV and IRR. Should the project be accepted or not?

Solution : ২৮৭ পৃষ্ঠার **Problem-24** নং প্রশ্নের উত্তর দেখুন।

ooo (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

oo **Problem-12** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Marketing-2018 No–12**

A company wants to invest in a project the initial outlay of which is Tk. 27,000. The relevant cash flows of the project is given below :

Year	Cash flows
1	11,000
2	10,000
3	9,000
4	8,000

The firm's cost of capital is 14%.

Calculate : (i) Payback period; (ii) Net present value; (iii) Internal rate of return.

Solution : ২৯১ পৃষ্ঠার **Problem-28** নং প্রশ্নের উত্তর দেখুন।

বিবিএ (হিসাববিজ্ঞান) ফাইনাল (অনার্স ৩য় বর্ষ)-২০১৫(ক)

oo **Problem-13** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) Accounting (1st Year) 2016**

Talukder Enterprise is considering a new product line. The details of the investment proposals are as follows :

Initial cash outlay	Tk. 1,00,000
Expected life	5 years
Salvage value	Tk. 10,000
Working capital	Tk. 20,000

Cash flow before depreciation and taxes :

Years	CFBT (Tk.)
1	25,000
2	30,000
3	32,000
4	35,000
5	40,000

The project cost of capital is 10% and tax rate is 45%. Depreciation will be on sraight-line basis. You are required to calculate :

(i) Pay back period (PBP);
(ii) Average rate of return (ARR);
(iii) Return on investment (ROI).

Solution : ২৯৩ পৃষ্ঠার **Problem-30** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-14** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2022 No–10**

Two projects have the following cash flow :

Period	A-CFAT	B-CFAT
0	1,00,000	1,00,000
1	50,000	50,000
2	50,000	-
3	50,000	-
4	50,000	1,80,000

Salvage value end of 4 year for both project is Tk. 5,000.

Calculate :

(i) Pay back period for both projects.
(ii) Determine the IRR of each projects.
(iii) Which project should be selected?

Solution : ২৯৭ পৃষ্ঠার **Problem-34** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-15** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2014 No– 11(b); D.U. BBA (Hon's) 3rd Accounting 2017 No– 10(b)**

The expected cash flows of a project are as follows :

Year	Cash flow (Tk.)
0	(28,000)
1	6,000
2	7,000
3	10,000
4	11,000
5	9,000

The certainty equivalent factor behave as per the following equation $\alpha_t = 1 - 0.05t$ Calculate the net present value of the project if risk free rate to return is 8%.

Solution : ৩০২ পৃষ্ঠার **Problem-37** নং প্রশ্নের উত্তর দেখুন।

[২০২৪ সালের পরীক্ষায় যা এসেছিল-]

⊠⊠ **Problem-16** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2024 No–12**

Zarir Company is considering two mutually investment proposals. Their expected cash flows streams (CFAT) are given below :

Year	Proposal-A (Tk. in thousand)	Proposal-B (Tk. in thousand)
0	(500)	(700)
1	140	100
2	140	110
3	140	130
4	140	150
5	140	160
6	140	150
7		120
8		120
9		110
10		100

The company employs the risk adjusted method of evaluating risky project and selects the appropriate required rate of return as follows :

Projected pay back	Required rate of return
Less than 1 year	8%
1 to 5 years	10%
5 to 10 years	12%
Over 10 years	15%

You are asked to select the better proposal for the company.

Solution : ৬০৯ পৃষ্ঠার **Question No-12** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-17** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2016 No–11; 4th Year (Mgt) 2021 No–11**

A company has the following estimates of the present values of the future cash flows after taxes associated with the investment proposal, concerned with expanding the plant capacity. It intends to use a decision tree approach to get a clear picture of the possible outcomes of this investment. The plant expansion is expected to cost Tk. 3,00,000. The respective PVs of future CFAT and probabilities are as follows :-

PV of future CFAT

With expansion	Without expansion	Probabilities
Taka	Taka	
3,00,000	2,00,000	0.2
5,00,000	2,00,000	0.4
9,00,000	3,50,000	0.4

Advise the company regarding the financial feasibility of the project.

Solution : ৩০৪ পৃষ্ঠার **Problem-40** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-18** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting- 2021 No–12**

Dina Ltd. is considering to purchase a new equipment. The net cash flows of the equipment have been estimated as given below. The life of the equipment is estimated to be two year.

	Year-1	Probability	Year-2	Probability
CFAT	10,000	0.4	8,000	0.5
			12,000	0.5
CFAT	12,000	0.6	16,000	0.4
			20,000	0.6

The cost of equipment is Tk. 20,000. The company's cost of capital is 12%. Use the decision tree approach to recommend whether the equipment should be bought or not.

Solution : ৩০৫ পৃষ্ঠার **Problem-41** নং প্রশ্নের উত্তর দেখুন।

২০২৪ সালের পরীক্ষায় যা এসেছিল

Problem-19 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2024 No–14**

Nova Company is ready for pilot production and test marketing of an electric moped. It will cost Tk. 20 million. Management believes that there is 70% chance that pilot production and test marketing will be successful. In case of success, Nova can build a plant costing Tk. 150 million. The plant will generate an annual cash inflow of Tk. 30 million for 20 years if demand is high or an annual cash inflow of Tk. 20 million if demand is low. High and low demand has probability of 0.6 and 0.4 respectively. Assume a discount rate of 12%.

Suggest the optimal course of action using decision tree analysis.

Solution : ৬১১ পৃষ্ঠার **Question No-14** নং প্রশ্নের উত্তর দেখুন।

2. Risk Analysis

Problem-20 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2018 No– 11**

The following are the possible cash-flows for project 'A' and 'B' and their associated probabilities (P). Calculate the expected monetary value for each of the projects. Which project is preferable?

Possible events	Project 'A'		Project 'B'	
	CF (Taka)	Probability (P)	CF (Taka)	Probability (P)
1	14,000	0.10	12,000	0.10
2	15,000	0.20	10,000	0.15
3	16,000	0.40	15,000	0.50
4	17,000	0.20	16,000	0.15
5	18,000	0.10	20,000	0.10

Solution : ৩০৮ পৃষ্ঠার **Problem-44** নং প্রশ্নের উত্তর দেখুন।

Problem-21 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 4th Management 2018 No–11**

The following information of Moon company are given below.

Possible return	Probability
12%	0.15
16%	0.15
20%	0.30
25%	0.20
8%	0.20

(a) Compute the expected return on this company
(b) Compute the standard deviation on this company.
(c) Compute the co-efficient of variation for this company.

Solution : ৩১০ পৃষ্ঠার **Problem-47** নং প্রশ্নের উত্তর দেখুন।

Problem-22 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting 2018 No– 11**

The probability distribution of NPVS of two projects are given below :

Project–1		Project–2	
NPV	Probability	NPV	Probability
10,000	0.20	0	0.10
15,000	0.70	20,000	0.70
25,000	0.10	30,000	0.20

Requirements :
(a) Expected NPV.
(b) Standard deviation of NPV.
(c) Co-efficient of variation of each project.
(d) Which project do you prefer and why?

Solution : ৩১১ পৃষ্ঠার **Problem-49** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-23** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting- 2021 No–11**

You are supplied with the following information of a project :

Initial cash outlay Tk. 5,000. The CFAT and respective probability are given below :

Year-1		Year-2		Year-3	
CFAT (Tk.)	Probability	CFAT (Tk.)	Probability	CFAT (Tk.)	Probability
1,500	0.20	2,000	0.50	2,500	0.10
2,000	0.40	2,300	0.10	3,000	0.30
2,500	0.30	2,500	0.20	3,500	0.30
3,000	0.10	2,800	0.20	5,000	0.30

The rate of cost of capital is 5%

Required :

(a) Calculate expected value of CFAT for each year.

(b) Calculate expected NPV of the project by using cost of capital as the discounting rate.

Solution : ৩১৩ পৃষ্ঠার **Problem-53** নং প্রশ্নের উত্তর দেখুন।

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

oo **Problem-24** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 4th Management 2017 No–11**

There are two securities and three states of economy to Mr. Khondoker :

State of economy	Probability	Rate of return	
		Stock A	Stock B
Recession	0.20	10%	20%
Normal	0.30	20%	25%
Boom	0.50	40%	30%

Suppose. Mr. Khondoker has Tk. 5,00,000. If he puts Tk. 3,00,000 in stock A and remainder in stock B, what will be the expected return and standard deviation of his portfolio?

Solution : ৩১৫ পৃষ্ঠার **Problem-55** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-25** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 4th Year Mgt 2019 No– 04; 2022 No– 04**

Padma Solar Company wants to calculate its cost of common stock using CAPM. The company's financial manager's analysis indicates that the risk-free rate of return equals 7.5%, the beta equals 1.4 and the market return equals 11%. Calculate the market risk premium and the cost of equity capital.

Solution : ৩১৮ পৃষ্ঠার **Problem-58** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-26** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting 2017 No–07**

Assume risk free rate of return is 5% and risk adjusted discount rate is 10% and time period is 5 years. You are required to calculate certainty equivalent co-efficient.

Solution : ৩১৮ পৃষ্ঠার **Problem-59** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-27** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting 2018 No–09**

The risk-free rate of return is 11% and the market return is 16%. The beta of the project under analysis is 1.4, with net cash-flows estimated to be Tk. 1,500 per year for 5 year. The investment outlay on the project is Tk. 4,500.

Requirement :

(a) What is the risk adjusted discounted rate?

(b) What is the risk adjusted net present value of the project.

(c) Should the project be selected?

Solution : ৩১৯ পৃষ্ঠার **Problem-60** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-28** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting 2022 No–14**

Today technology is considering investment in one of the mutually exclusive projects-A and B. The cost of capital (k) is 15% and the risk free rate (R_F) is 10%. The firm has gathered the following basic cashflow and risk index data each project :

Particulars	Projects	
	A Taka	B Taka
Initial investment	15,000	11,000
Cash inflows years		
1	6,000	6,000
2	6,000	4,000
3	6,000	5,000
4	6,000	2,000
Risk index	1.5	1.8

Required :

(a) Find the net present value (NPV) of each project using the firms cost of capital.

(b) (i) Which project is acceptable? (ii) Determine RADR using CAPM.

Solution : ৩২২ পৃষ্ঠার **Problem-64** নং প্রশ্নের উত্তর দেখুন।

০০০ (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

Chapter 03 Theory of Capital Structure

(মূলধন কাঠামো তত্ত্ব)

Part-A (Brief Questions) :

০০০ 01. **What is capital structure? (মূলধন কাঠামো কী?)** 99% *[N.U. Acc 3rd- 2020; (Finance 3rd)-2017]*

Ans : Capital structure refers to the mixture of long term sources of debt and equity funds.

০০০ (02) **What do you mean by optimum capital structure?** 99%

[N.U. Old-2014, Acc 3rd- 2016, (Finance 3rd)-2018, 2021; (Mgt 4rth)-2020; Acc 3rd- 2023]

Or, What is optimal capital structure?

(কাম্য মূলধন কাঠামো কী?)

Ans : Optimal capital structure is the capital structure that minimizes the firm's cost of capital and thereby maximizes the value of the firm.

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। –সম্পাদক]

০০০ 03. **What is financial structure? (আর্থিক কাঠামো কী?)** *[N.U. (Finance 3rd)-2020]*

Ans : The financial structure of a firm means the total of all liabilities and ownership claims the sum of what is usually the credit side of the balance sheet.

০০০ 04. **What are the elements of capital structure? (মূলধন কাঠামোর উপাদানগুলো কী?)**

Ans : The elements of capital structure are long term debt, preferred stock, common stock and retained earnings. *[D.U. Acc-2016]*

০০০ 05. **What is indifference point?** 99%

(নিরপেক্ষ বিন্দু কী?) *[N.U. 2014; (Acc. 3rd) 2022]*

Ans : Indifference point is the level of EBIT where EPS is the same of two alternatives.

০০০ (06) **Define arbitrage?** 99% **(আর্বিট্রেজ এর সংজ্ঞা দাও।)** *[N.U.2013; Acc 3rd-2023; Mgt 4rth)-2019]*

Or, What is arbitrage? (আর্বিট্রেজ কী?)

Ans : Arbitrage means finding two assets that are essentially the same, buying the cheaper and selling the more expensive.

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। –সম্পাদক]

০০০ 07. **What is arbitrage process? (আর্বিট্রেজ প্রক্রিয়া কী?)** 99% *[N.U. Acc 3rd-2016; (Finance 3rd)-2019]*

Or, What do you mean by arbitrage process?

Ans : The arbitrage process is the purchase of securities whose prices are lower and sale of securities whose prices are higher, unrelated markets which are temporarily out of equilibrium.

০০০ 08. What is Miller Model? (মিলার মডেল কী?)

Ans : Merton Miller introduced a model designed to show how leverage affect firm's values when both personal and corporate taxes are taken into account.

০০০ 09. What is debt capacity? (ঋণ ক্ষমতা কী?)

[N.U.Acc 3rd-2018]

Ans : Debt capacity is the maximum proportion of debt that the firm can include in its capital structure and still maintain its lowest composite cost of capital.

10. Write down the full form of CAPM. [২০২৪ সালে যা এসেছিল]

[N.U.-2012; 4th Mgt-2018; 2021, 2024 3rd)]

Or, Elaborate CAPM. (CAPM এর পূর্ণরূপ লিখ।)

***Ans :** The full form of CAPM is Capital Assets Pricing Model.*

০০০ 11. Define leverage. (লিভারেজ কী?)

Ans : The use of fixed cost assets or fund in an attempt to increase profitability is called leverage.

০০০ 12. What is operating leverage? (পরিচালনা লিভারেজ কী?)

Ans : Operating leverage is the potential use of fixed operating costs to magnify the effects of changes in sales on the firm's earnings before interest and taxes.

০০০ 13. What is earning per share (EPS)? 99%

[N.U. Acc 3rd-2017, 2019; 4th Mgt-2018]

Or, What is EPS? (ই.পি.এস কী?)

Ans : Earnings per share is a financial metric that measures the portion of a company's profit that is allocated to each outstanding share of common stock.

০০ 14. What is DPS? (ডিপিএস কী?)

Ans : Dividend Per Share (DPS) is the sum of decleared dividends issued by a company for every ordinary share outstanding.

০০০ 15. What is price earnings (P/E) ratio? (মূল্য আয় অনুপাত কী?) *[N.U. Acc 3rd-2018]*

Ans : The P/E ratio measures the amount that investors are willing to pay for cash taka of firm's earnings.

০০০ 16. What is financial leverage? (আর্থিক লিভারেজ কী?)

Ans : The amount of debt used in capital structure reflects the financial leverage.

০০০ 17. What is levered firm? (লিভারেজ যুক্ত ফার্ম কী?)

99% *[N.U. 2013; (Finance 3rd)-2016; (Mgt 4rth)-2020; (Acc. 3rd) 2022]*

Ans : A firm that used debt in its capital structure. The term often refers to firms that have a large percentage of debt relative to equity when compared against peers in the same industry.

০০ 18. What is unlevered firm? (লিভারেজবিহীন ফার্ম কী?)

Ans : The firm not using any debt can be labeled as unlevered firm.

০০০ 19. What is business risk? (ব্যবসায় ঝুঁকি কী?)

[N.U. 2013; D.U.Acc-2017; 4th Mgt-2018]

Ans : Business risk refers to the risk associated with the firm's operations.

০০০ (20) Define risk in finance. 99%

[N.U. Acc 3rd- 2018, 2020, 2022]

Or, What is financial risk? (আর্থিক ঝুঁকি কী?)

Ans : Financial risk refers to the additional risk placed on firm's shareholders as a result of debt use in financing.

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

০০০ 21. What is corporate tax? (কর্পোরেট কর কী?)

[N.U. (Acc.) 3rd-2020, 2022]

Ans : A tax that must be paid by a corporation based on the amount of profit generated. The amount of tax, and how it is calculated, various depending upon the region where the company is located.

০০০ 22. What is WACC? *[D.U. (Finance 3rd)-2016]*

Ans : Weighted average cost of capital is the minimum rate of return that a firm must earn on its assets to satisfy its investors.

০০০ 23. Who developed the NI approach?

[N.U. 4th Mgt-2017]

Ans. David Durand developed the NI approach.

০০০ 24. What is financial distress?

[N.U. (Finance 3rd)-2019]

Ans. Financial distress is a term in corporate finance used to indicate a condition when promises to creditors of a company are broken or honoured with difficulty.

০০০ 25. What is cost driver? *[N.U. Acc 3rd- 2019]*

Ans : Any output measure of resources and activities is called cost driver.

০০০ 26. Define marginal cost. 99% *[N.U. Acc 3rd- 2019]*

Ans : The additional cost resulting from producing and selling one additional unit is called marginal cost.

০০০ 27. What is CAPM? *[N.U. (Finance 3rd)-2020]*

Ans. The capital assets pricing model is a model that describes the relationship between the expected return and risk of investing in a security.

০০০ 28. What is bankruptcy costs? *[N.U. 4th Mgt-2020]*

Ans. The administrative, legal and opportunity costs that are associated with bankruptcy are known as bankruptcy cost.

০০০ 29. What is peaking order theory? 99%

[N.U. (Finance 3rd)-2021]

Ans. A hierarchy of financing that begins with retained earnings, which is followed by debt financing and finally external equity financing.

Part- B & C (Short & Broad Questions) :

○○ 01. What is mean by capital structure?
[Ans : ব্যাতিক্রম হিসাববিজ্ঞান ইন্টারপ্রেস (৪র্থ খণ্ড) বইয়ের 327 Page 3.01 No.]
Or, Briefly explain the concept of capital structure. *[টেস্ট পরীক্ষা- ঢাকা ও এমকে কলেজ; N.U. 2007]*

○○○ 02. **Describe the arbitrage process of levered firm? 99% [Ans : 329 Page 3.05 No.]** *[N.U. (Acc)- 2017]*

○○ 03. (a) What is financial leverage? **[Ans : 333 Page 3.20 No.]**
Or, What is capital gearing lveverage?
(b) Describe in brief the external factors determining capital structure. **[Ans : 333 Page 3.22 No.]**
[N.U. (Acc)- 2017]

○○○ 04. What is cost of financial distress? **[Ans : 330 Page 3.08 No.]** *[N.U Acc- 2016]*

○○○ 05 **Explain in brief the assumptions of Modigliany and Miller (MM) theory. 99% [Ans : 335 Page 3.27 No.]**
[N.U. Acc- 2018]

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

○○○ 06. What are the factors affecting on influencing capital structure? **[Ans : 330 Page 3.09 No.]**

○○○ 07. **What is the difference between NOI and NI approach? 99% [Ans : 332 Page 3.15 No.]**
[টেস্ট পরীক্ষা- ইডেন, কারমাইকেল ও বরিশাল কলেজ; D.U. 2016 (Finance); N.U: BBA(Finance)-2018; 4th Mgt-2017; Acc- 2019]
Or, Differentiate between Net Income (NI) approach and Net Operating Income (NOI) approach?
Or, Show the difference between NI approach and NOI approach.

○○ 08. What is an optimum capital structure? **[Ans : 329 Page 3.06 No.]** *[N.U. Acc- 2020]*

○○○ 09 **Discuss the characteristics of optimal capital structure. 99% [Ans : Page No 333; Ques. No 3.21]**
Or, Mention the features of optimum capital structure. *[N.U. Acc- 2020, 2022]*
[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

10. (a) Define the notion of arbitrage. **[Ans : Page No. 328; Ques. No. 3.04]** *[N.U. Acc- 2024]*
Or, What's meant by arbitrage?

Help Line ***Dear Students, In above Suggestions Part-B and Part-C : 05 & 09 No. Questions in are most important for the Examinee of 2025.*** ***Editor***

গাণিতিক সমস্যাবলি ও সমাধান (Mathematical Problems & Solution)

Easy Math Basic Problem : Category-B & C

○○ **Problem-01** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting 2017 No–05**
Trisa Ltd. has Tk. 10,00,000 debt in its present capital structure. Expected net operating income is Tk. 6,00,000. Interest rate 6%. Cost of equity capital is 12%.
Compute :
(a) Market value of the Company.
(b) Overall cost of capital (using NI approach).

Solution : ব্যাতিক্রম হিসাববিজ্ঞান ইন্টারপ্রেস (৪র্থ খণ্ড) বইয়ের ৩৩৯ পৃষ্ঠার **Problem-03** নং প্রশ্নের উত্তর দেখুন।

○○○ **Problem-02** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Accounting) 2022 No–05**
The ABIR and Co's expected earnings before interest and taxes (EBIT) is Tk. 50,000. The Co. has 10% debt of Tk. 2,00,000.The equity capitalization rate (k_o) of the company is 12.50%. The number of common stock of the company is 2,000.
Required :
(i) Find out the total value of the firm.
(ii) Find out the overall cost of capital of the firm.
(iii) Determine the market value per share.

Solution : ৩৪১ পৃষ্ঠার **Problem-06** নং প্রশ্নের উত্তর দেখুন।

○○○ (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

[২০২৪ সালের পরীক্ষায় যা এসেছিল-]

Problem-03 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2024 No–7**

Rahat Life Insurance Company Ltd. has Tk. 10,00,000 Debt in its present capital structure. Their expected net operating income is Tk. 5,90,000. Rate of interest is 6%. Cost of equity capital is 13%.

Compute the :

1. Market value of the company.
2. Overall cost of the capital (By applying NI approach.)

Solution : ৬০৭ পৃষ্ঠার **Question No-07** নং প্রশ্নের উত্তর দেখুন।

Problem-04 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Accounting) 2020 No–06**

A company's expected yearly net operating income is Tk. 1,50,000; cost of debt is 10% outstanding debt Tk. 5,00,000. The overall capitalization rate (k_O) is 12%.

Required :

(a) What would be the total value of the firm?
(b) What would be the equity-capitalization rate?

Solution : ৩৪২ পৃষ্ঠার **Problem-07** নং প্রশ্নের উত্তর দেখুন।

Problem-05 ***Year Question & Solution*** ⊙ **D.U. BBA (Hon's) 3rd Finance 2016 N.U. BBA (Hon's) 3rd (Old) 2012 No–8; 4th Year Management 2020 No–9**

Reza Brother's Company/The ABIR and Co.s expected earning before interest and taxes (EBIT) is Tk. 50,000. The Co. has 10% debt of Tk. 2,00,000. The equity capitalization rate (k_e) of the company is 12.50%. The number of common stock of the company is 2,000.

Required :

(i) Find out the total value of the firm (V).
(ii) - Find out the k_0 of the firm.
(iii) Determine the market value per share.
(iv) Determine the EPS.

Solution : ৩৪৩ পৃষ্ঠার **Problem-10** নং প্রশ্নের উত্তর দেখুন।

Problem-06 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting- 2021 No–04**

Assuming no taxes and given the earning before interest and taxes (EBIT), interest (I) at 10% and equity capitalization rate (k_e) below, calculate total market value of each firm :

Firms	EBIT (Taka)	I (Taka)	k_e
X	2,00,000	20,000	12%
Y	3,00,000	60,000	16%
Z	5,00,000	2,00,000	15%
W	6,00,000	2,40,000	18%

Also determine the weighted average cost of capital for each firm.

Solution : ৩৪৪ পৃষ্ঠার **Problem-11** নং প্রশ্নের উত্তর দেখুন।

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

Problem-07 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2014 No–12**

Sun Limited with operating earning (EBIT) of Tk. 4,00,000 is attempting to evaluate a number of possible capital structures given below. Which of the capital structure will you recommend and why? According to net income approach :

Capital	Level of debt	Cost of debt	Cost of equity
1	2,00,000	11%	13%
2	3,00,000	11%	14.5%
3	4,00,000	12%	15.5%
4	5,00,000	13%	17%

Solution : ৩৪৫ পৃষ্ঠার **Problem-13** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-08** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2018 No– 12**

The following information is available for company 'K' and 'Q' : –

Details	K	Q
Net operating income	Tk. 2,00,000	Tk. 2,00,000
Interest on debt		Tk. 50,000
Cost of equity	16%	16%
Cost of debt	10%	10%

By using NI approach you are required the following questions :

(i) Market value of equity, market value of debt and value of both company.
(ii) What is the average cost of capital for each of the company?
(iii) What happens to the WACC of 'K' if it employees Tk. 3,00,000 of debt to finance a project that yields an operating income of Tk. 40,000?

Solution : ৩৪৬ পৃষ্ঠার **Problem-14** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-09** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting- 2021 No–05**

ABC Ltd. an all equity firm expects perpetual EBIT of Tk. 20,00,000 per year. The firm's all equity discount rate is 20%. The firm is subject to a 40% corporate tax rate.

Requirement :

(a) What is the value of ABC Ltd.
(b) If ABC Ltd. issues Tk. 5,00,000 of debt and uses the proceeds to repurchase stock, what will the value of firm be?

Solution : ৩৪৭ পৃষ্ঠার **Problem-16** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-10** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting 2016 No–03**

Market value of a firm is Tk. 17,00,000 including of Tk. 5,00,000 Debt. The pre tax interest rate of debt is 10%. The company is in 34% tax bracket. The company expects Tk. 3,06,000 EBIT every year.

Required :

(a) What would the value of the firm be if it were financed entirely with equity?
(b) What is the amount of annual earnings available for stockholders?

Solution : ৩৪৮ পৃষ্ঠার **Problem-18** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-11** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2021 No–12**

There are two companies. Company U and L. U denotes unlevered firm and L denotes levered firm. The company L has Tk. 60,00,000 debt at 9% annual rate of interest. Assume that all of the M-M assumptions are met. Corporate tax 40%. Expected EBIT is Tk. 2,50,000. The cost of equity to company U is 15%.

Calculate :

(a) Value of the firm L and U
(b) The cost of equity of U firm
(c) Market value of share of L firm
(d) Cost of equity of L firm
(e) WACC of U firm
(f) WACC of L firm.

Solution : ৩৫০ পৃষ্ঠার **Problem-22** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-12** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2018 No– 15; 2023 No–13**

The two companies L = Levered and U = Unlevered, belong to same risk class. The following information are available from the L and U companies :

Details	L	U
EBIT	Tk. 3,30,000	Tk. 3,30,000
10% Debt	Tk. 5,00,000	
k_{eu}		22%
Corporate tax rate	30%	30%
Personal tax rate	20%	20%
Interest tax rate	20%	20%
Cost of financial distress	4.5%	

Instructions : Compute
(a) Value of U
(b) Gain from leverage
(c) Cost of financial leverage
(d) Value of L.

Solution : ৩৫১ পৃষ্ঠার **Problem-23** নং প্রশ্নের উত্তর দেখুন।

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

oo Problem-13 *Year Question & Solution* ⊙ N.U. BBA (Hon's) 4th Management 2017 No–16

The following is the data regarding two companies Sun and Moon belonging to the same risk class :

Details	SUN	MOON
EBIT/NOI	Tk. 3,00,000	Tk. 3,00,000
6% Debt	–	Tk. 10,00,000
Cost of equity	10%	15%

Requirement :
1. Value of the firms,
2. Overall cost of capital.
3. Assume that an investor owns 10% of SUN Company's share. Using Arbitrage Process show that, how can he obtain same return at a lower cost.

Solution : ৩৫৯ পৃষ্ঠার **Problem-31** নং প্রশ্নের উত্তর দেখুন।

ooo Problem-14 *Year Question & Solution* ⊙ N.U. BBA (Hon's) 3rd (Accounting) 2019 No–12

The two companies U = Unlevered and L = Levered, belong to same risk class. These two firms are identical in every respect except that 'L' company has 10% debentures of Tk. 30 lakhs. The other relevant information are as follows :

Details	Firm U (Tk.)	Firm L (Tk.)
EBIT	6,00,000	6,00,000
Less : Interest	–	3,00,000
Earnings to equity holders	6,00,000	3,00,000
(÷) Cost of capital (k_e)	0.15	0.20
Market value of equity (S)	40,00,000	15,00,000
(+) Market value of debt (B)	–	30,00,000
Total value of the firm (V)	40,00,000	45,00,000
Overall cost of capital (k_0)	15%	13.33%
Debt equity ratio (B/S)	0	2.00

Assume that an investor hold 10% equity shares of firm L.
(i) Show the arbitrage process and the amount by which he could reduce his outlay through the use of leverage.
(ii) According to Modigliani and Miller, when will this arbitrage process come to an end?

Solution : ৩৬২ পৃষ্ঠার **Problem-35** নং প্রশ্নের উত্তর দেখুন।

oo Problem-15 *Year Question & Solution* ⊙ N.U. BBA (Hon's) 3rd (Old) 2009; 4th Year Mgt 2019 No–6; 2022 No–8

ABC Company, the following debt and equity capital (after tax) have been made at various investment plans. You are required to determine optimum debt equity mix for the company by calculating the composite cost of capital :

Plan	% of debt	Cost of debt (k_d) (%)	Cost of equity (k_e) (%)
A	0	0	12
B	10	5	12
C	20	5.2	12.5
D	30	6	13
E	40	6.5	14
F	50	7	15
G	60	7.5	16

Solution : ৩৬৩ পৃষ্ঠার **Problem-36** নং প্রশ্নের উত্তর দেখুন।

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

Problem-16 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2024 No–13**

Ahmed Ltd. has the following capital structure :

Account titles	Amounts (Tk.)
Equity (Tk. 100 per share)	10,00,000
12% Debt	5,00,000
Total capital	15,00,000

The company wishes to raise Tk. 5,00,000 for expansion programs. The following alternatives are available :

(i) 100% equity

(ii) 50% equity and 50% debt at 12%

(iii) 100% debt at 12%.

The expected EBIT is Tk. 20,00,000 the tax rate is 40%. Calculate the EPS and which one would you prefer. Also calculate the indifference EBIT between alternatives (i) and (ii).

Solution : ৩৬৪ পৃষ্ঠার **Problem-39** নং প্রশ্নের উত্তর দেখুন।

Problem-17 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Accounting) 2022 No–15**

Kana Kata Ltd. has the following capital structure :

Particulars	Taka
Equity (Tk. 10 per share)	10,00,000
10% Debt	5,00,000
Total capital	15,00,000

The company wishes to raise Tk. 5,00,000 for expansion programms. The following alternative are available :

(i) 100% equity

(ii) 50% equity and 50% debt at 12%

(iii) 100% debt at 12%

The expected EBIT is Tk. 2,00,000. The tax rate is 40%.

Required :

(i) Calculate the EPS and which one would you prefer.

(ii) Also calculate the indifference EBIT between alternative (i) and (ii).

Solution : ৩৬৬ পৃষ্ঠার **Problem-40** নং প্রশ্নের উত্তর দেখুন।

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

Problem-18 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 4th Management 2022 No–14**

The capital structure of Miller and Miller Limited is given below:

Accounts titles	Tk.
Common stock	30,00,000
10% Preferred stock	10,00,000
10% Debt	10,00,000
Total	50,00,000

The company wishes to raise Tk. 20,00,000 for expansion program. The following alternatives are available :

(a) Fully equity stock at Tk. 100 each.

(b) Fully 10% debenture.

(c) Fully 12% preferred stock.

If the expected EBIT is Tk. 10,00,000, the tax rate is 50%. Which alternative would you recommend and why?

Solution : ৩৭১ পৃষ্ঠার **Problem-44** নং প্রশ্নের উত্তর দেখুন।

Chapter 04 Dividend Policy

(লভ্যাংশ নীতি)

Part-A (Brief Questions) :

ooo 01. What is dividend policy? (লভ্যাংশ নীতি কী?) 99%
[N.U. 2015]

Ans : The complete guideline regarding the payment of dividend and retention of profit can be termed as the dividend policy

oo 02. **What are the forms of dividends?**
(লভ্যাংশ গঠন কী?)

Ans : The main forms of dividends are cash, script, bond and stock.

ooo 03. **What is retained earnings?** 99% **(সংরক্ষিত আয় কী?)** *[N.U. (Mgt 4th) 2020]*

Ans : Retained earnings are the portion of net income not distributed to the owners as dividends, they serve as a form of internal financing.

ooo 04. **What is dividend yield? (লভ্যাংশ ইল্ড কী?)**

Ans : Anticipated annual dividend by the market price of the stock.

05. What do you mean by flotation costs? [২০২৪ সালে যা এসেছিল] [D.U. (Finance 3rd)-2016, 2019; N.U. 2012(Mgt 4th) -2020; (Acc. 3rd) 2022, 2024]
Or, What is a flotation cost? (উত্তরণ খরচ কী?)
***Ans :** The costs associated with issuing securities such as underwriting, legal, listing and printing fees are called flotation costs.*

06. Define dividend Pay-out ratio (D/P ratio).
[N.U. (Management)-2019; (Finance 3rd)-2017, 2019; 2021 (Acc. 3rd)].[২০২৪ সালে যা এসেছিল]
Or, What is dividend payout ratio?
(লভ্যাংশ পরিশোধ অনুপাত কি?
***Ans :** Dividend payout ratio indicates the percentage of Company's earnings that paid out to the shareholders in cash.*

ooo 07. **What is the residual dividend theory?**
(অবশিষ্ট লভ্যাংশ তত্ত্ব কী?)

Ans : According to the residual dividend theory, dividends are paid only if retained earnings are available after financing all acceptable investments.

oooo 08 **,Mention the types of firms as directed by Walter Model.** 99% *[N.U. 2021 (Acc)]*

Ans. The types of firms as directed by Walter Model are 1. Growth firm. 2. Normal firm and 3. Declining firm.

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 09. **What is stock repurchase? (স্টক পুনঃক্রয় কী?)**
[N.U. (Finance 3rd)-2017, 2019]

Ans : Stock repurchase is a program by which a company buys back its own shares from the marketplace reducing the number of outstanding shares.

10. What is stock splits? (স্টক খণ্ডন কী?) [২০২৪ সালে যা এসেছিল] [N.U. 2014; Acc 3rd- 2016, 2019, 2022, 2024; (Finance 3rd)-2018; (Mgt 4th)-2019, 2021]
Or, Define stock split.
***Ans :** When a company increases its number of equity shares by reducing the face value of its share than it is known as stock split.*

ooo 11. **What is reverse stock split?**
[N.U. (Finance 3rd) 2016]

Ans: Reverse stock split is a method used to raise the market price of a firms stock by exchanging a certain numbers of outstanding shares for one new share.

ooo 12. **What is declaration date? (ঘোষণা তারিখ কী?)**

Ans : The date when the corporation actually pays the declared dividend..

oooo 13 **What is stock dividend? (স্টক লভ্যাংশ কী?)** 99%
[N.U. Acc-2023;N.U. 2014; 4th Mgt-2017; (Finance 3rd)-2019]

Ans : Stock dividend is paid in the form of the company stock due to raising of more finance.

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 14. **What is preferred stock?** *[N.U. 2015]*

Ans. Preferred stock is a kind of stock which gots priority achieving dividend and capital back.

oo 15. **What is small stock dividend?**
(ক্ষুদ্র স্টক লভ্যাংশ কী?)

Ans : A small stock dividend is a stock dividend that represent less than 20 to 25 percent of the common stock outstanding when the dividend is declared.

ooo 16. **What is retention ratio?** *[N.U. 2015; 4th Mgt-2018]*

Ans. The part or percentage of the net earnings that is retaind is known as retention ratio.

ooo 17. **What is extra dividend? (অতিরিক্ত লভ্যাংশ কী?)**

Ans : An additional dividend optionally paid by the firm if earnings are higher than normal in a given period. It is brought about the special circumstances.

ooo 18. **What is cash dividend?** 99% *[N.U. Acc 3rd-2019; 4th Mgt-2021]*

Ans : If the dividend is paid in the form of cash to the shareholders is called cash dividend.

ooo 19. **What is bonus share?** 99% *[N.U. Acc 3rd-2020]*

Ans. Bonus share are additional shares given to the current shareholders without any additional cost, based upon the number of shares that a shareholder owns.

ooo 20. **What is trade off model?** *[N.U. (Finance 3rd)-2020]*

Ans. The trade off model of capital structure is a financial theory that suggests that a company should balance the costs and benefits of various sources of financing, such as debt and equity in order to achieve an optimal structure.

ooo 21. **What do you mean by stable dividend policy?** *[N.U. (Finance 3rd)-2020]*

Ans. Stable dividend policy means payment of certain minimum amount of dividend regulary irrespective in the time of firms profit and loss.

ooo 22. **What are two main types of dividends?** 99% *[N.U. (Finance 3rd)-2021]*

Ans. The main two types of dividends are–
1. Cash dividend & 2. Stock dividend.

23. ***What is bird-in-hand theory? [২০২৪ সালে যা এসেছিল]*** *[N.U. 2024 (Acc 3rd)]*

Ans : The bird-in-hand theory holds that the firm's value will be maximized by a high dividend payout ratio, because investors regard cash dividends as being less risky than potential capital gains.

Part-B & C (Short & Broad Questions) :

ooo 01. What is mean by dividend policy? *[টেস্ট পরীক্ষা- কুমিল্লা ভিক্টোরিয়া, যশোর সিটি কলেজ; N.U. (Hon's) 2006; Acc-2012]*
Or, Definition of dividend policy?
[Ans : রিবিএ হিসাববিজ্ঞান ইজিপ্রেস (৪র্থ খণ্ড) বইয়ের 376 Page 4.01 No.]

ooo 02. **Write down the benefit of share repurchase.** 99% **[Ans : 380 Page 4.13 No.]** *[N.U. Acc- 2017]*

oo 03. (a) Contrasts a passive dividend policy with an active one. **[Ans : 378 Page 4.06 No.]**
[টেস্ট পরীক্ষা- যশোর সিটি ও এডওয়ার্ড কলেজ; N.U. 2013]

(b) From a managerial stand point how do a firm's liquidity to borrow affect its dividend payout ratio?
[Ans : 378 Page 4.08 No.] *[N.U. 2013]*

ooo 04. Discuss the determinants of an optimum dividend policy. **[Ans : 379 Page 4.12 No.]** *[N.U. 4th Mgt- 2017]*

ooo (05) **Show the differences between stock dividend and stock split.** 99% **[Ans : 382 Page 4.19 No.]**
Or, Differentiate between stock dividend and stock split. *[N.U. Acc- 2018, 2020]*
[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

ooo 06. **Discuss different types of dividend policy.** 99% **[Ans : 377 Page 4.04 No.]**
[টেস্ট পরীক্ষা- তিতুমীর, কবি নজরুল, যশোর সর. সিটি ও কুমিল্লা ভিক্টো. কলেজ; N.U. (Hon's) 2007, Acc- 2012, 2018, 2022; D. U. Acc- 2016]

[২০২৪ সালের পরীক্ষায় যা এসেছিল–

5. Briefly explain the financial signaling of dividend policy. **[Ans : Page No. 382; Ques. No. 4.17]** *[N.U. Acc- 2024*

11. (b) What factors affect dividend policy? **[Ans : Page No. 377; Ques. No. 4.05]**
Or, Which factors affecting dividend policy? *[D.U. 2016 (Finance); N.U. Acc- 2017, 2024]*

Help Line ***Dear Students, In above Suggestions Part-B and Part-C : 05 & 06 No. Questions in are most important for the Examinee of 2025.*** ***..... Editor***

গাণিতিক সমস্যাবলি ও সমাধান (Mathematical Problems & Solution)

Easy Math Basic Problem : Category-B & C

oo **Problem-01** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 4th Year Mgt 2018 No– 08**

Nur Fertilizer Ltd. Provides the following information :

Earning for common stockholder (EAT)	Tk. 10,00,000
Number of ordinary shares	Tk. 5,00,000
Earning per share (EPS)	Tk. 2.00
Price earning (P/E) ratio	15 times

Required : Calculate of market price share (MPS).

Solution : রিবিএ হিসাববিজ্ঞান ইজিপ্রেস (৪র্থ খণ্ড) বইয়ের ৩৮৯ পৃষ্ঠার **Problem-01** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-02** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2017 No– 05**

The following information is supplied to you, about Zihan Company :

Earnings of the company	Tk. 15,00,000
Dividends paid	5,00,000
Number of issued shares	1,00,000
Price earnings ratio	10
Rate of return on investment (%)	15

Determine the theoretical market price of the share, (according to Walter's model)

Solution : ৩৮৯ পৃষ্ঠার **Problem-02** নং প্রশ্নের উত্তর দেখুন।

।২০২৪ সালের পরীক্ষায় যা এসেছিল-

ⓍⓍ **Problem-03** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2024 No–8**

Nusaiba Company earns Tk. 6 per share is capitalized at a rate of 10% and has a rate of return on investment of 22%. According to Walter's model what should be the price per share at 25% dividend payout ratio?

Solution : ৩৯১ পৃষ্ঠার **Problem-06** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-04** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting 2018 No– 07**

The earning per share of a company is Tk, 30. It has an internal rate of return 25% and the capitalization rate of its risk class is 20%.

Instruction : Using Walter model find out–

(i) What would be the optimum payout ratio of the firm?

(ii) What should be the price of the share at this stage?

Solution : ৩৯২ পৃষ্ঠার **Problem-09** নং প্রশ্নের উত্তর দেখুন।

০০ **Problem-05** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2019 No– 9**

Ruposhi Bangla Ltd. has an investment of Tk. 10,00,000 and the number of equity share is 10,000. The internal rate of return of the company is 16%, the capitalization rate of the company is 15%. You have to calculate the price of the share according to Walter's model if the company pays (i) 30% and (ii) 20% of its earnings as dividend.

Solution : ৩৯৩ পৃষ্ঠার **Problem-11** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-06** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting- 2021 No–07**

Following information are available for a company.

D_1 = Tk. 12

k_e = 20%

P_o = Tk. 200

Required rate of return = 15%

You are required to calculate :

(a) Retention ratio

(b). Earning per share.

Solution : ৩৯৪ পৃষ্ঠার **Problem-12** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-07** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2023 No–8**

Following information are available for a company :

Market price per share Tk. 250; EPS- Tk. 18.75; DPS- Tk. 7.50; Price earning ratio (P/E)- 4 times.

Required (using Walter model)

(i) Cost of equity (k_e);

(ii) Dividend payout ratio;

(iii) Retention ratio;

(iv) Internal rate of reinvestment (r).

Solution : ৩৯৫ পৃষ্ঠার **Problem-14** নং প্রশ্নের উত্তর দেখুন।

০০৯ (৯৯%) **[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]**

oo **Problem-08** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 4th Year Management 2018 No–14**

NOVO Airlines Ltd. Company which earns Tk. 12 per share, is capitalized at 10% and has a return on investment of 12%. Find-

(a) The price of the share at optimum payout ratio using the Walter's model.

(b) The price of the share using Gordon's model at 60% payout ratio.

Solution : ৩৯৭ পৃষ্ঠার **Problem-17** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-09** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting- 2022 No–06**

The following information relate to XYZ Co. Ltd.

P/E Ratio = 5 times.

EPS = Tk. 25

DPS = Tk.15

Required rate of return = 10%.

Using Gordon model you required to calculate :

(i) Capitalization rate (k_e).

(ii) Dividend pay out ratio.

(iii) Market price per share.

Solution : ৩৯৮ পৃষ্ঠার **Problem-19** নং প্রশ্নের উত্তর দেখুন।

০০০ (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

oo **Problem-10** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2018 No–14**

From the following data of Apex Shoe Ltd. you are required to calculate the-

(i) Market price per share (P_0)

(ii) Market value of the firm (V) by using Walter and Gordon model :

Earning per share Tk. 20

Equity capitalization rate 12%

Retention ratio 40%

No. of shares outstanding 50,000

Internal rate of return (r) : (a) 10%, (b) 12%, (c) 15%.

Solution : ৪০০ পৃষ্ঠার **Problem-21** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-11** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 4th Year Management 2020 No–13(b)**

A company's current stockholders' equity account is as follows :

	Taka
10% Preferred stock capital	4,00,000
Common stock (6,00,000 shares at Tk. 3 per share)	18,00,000
Paid-in capital in excess of par	2,00,000
Retained earnings	8,00,000
Total stockholders equity	32,00,000

Required :

(i) Indicate the change, if any, expected if the firm declares a 2- for-1 stock split.

(ii) Indicate the change, if any, expected if the firm declares a 3-for-1 stock split.

Solution : ৪০৫ পৃষ্ঠার **Problem-25** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-12** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting- 2021 No–13**

BPD Company's shareholder's equity at December 31, 2020 are given below :

Sources of equity capital	Taka
Common stock (Tk. 100 per, 30,000 shares)	30,00,000
Additional paid up capital	15,00,000
Retained earnings	55,00,000
Shareholder's total equity capital	1,00,00,000

The price of the stock on December 30 was Tk. 500. On that date BPD declared a–

(1) 10% stock dividend

(2) 2 for 1 stock split

(3) 1 for 5 reverse stock split.

What would happen to the accounts for the above conditions.

Solution : ৪০৭ পৃষ্ঠার **Problem-27** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-13** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting 2017 No–12**

Jain Company Ltd. has 20,00,000 common stock outstanding in the market and present market price is Tk. 125. Equity structure of the Co. is as follows :

Common stock (Tk. 50 each)	Tk. 10,00,00,000
Paid in capital	Tk. 15,00,00,000
Retained earnings	Tk. 40,00,00,000
Shareholders total equity :	Tk. 65,00,00,000

Required :

What would happen to the accounts if—

(a) Declares 10% stock dividend?

(b) Declares 3 for 2 stock split?

(c) Reverse stock split of 1 for 4?

Solution : ৪০৮ পৃষ্ঠার **Problem-28** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-14** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2021 No–13**

The Alpha Ltd shareholders equity account of December 31, 2022 is as follows :

Particulars	Amount Tk.
Common stock capital (Tk. 5 par value, 10,00,000 shares)	50,00,000
Additional paid in capital	50,00,000
Retained earnings	1,50,00,000
Total shareholders equity	2,50,00,000

Currently the company is under pressure from shareholders to pay some dividends. Company's cash balance is Tk. 1,50,000 all of which is needed for transaction purpose. The current market price of share is Tk. 10.00.

Requirements :

(a) Reformulate the shareholders equity account if 15% stock dividend paid.

(b) Reformulate the shareholders equity account if the company pay a 25% stock dividend.

(c) Reformulate the shareholders account if the company declares a 2 for 4 stock split.

Solution : ৪১৩ পৃষ্ঠার **Problem-31** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-15** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2013 No–16; Acc. 2023 No–14; 4th (Mgt.) 2019 No–13(b)**

Tama Ltd./Maria Ltd. has a cost of equity of 12%, current market value of the firm (V) is Tk. 20,00,000 [@ Tk. 20 per share]. Assume values for I (new investment), E (earnings) and D (dividends) at the end of the years as I = Tk. 6,00,000, E = Tk. 2,00,000 and D = Tk. 1.00 per share. Show that under MM assumptions the payment of dividend does not affect the value of the firm.

Solution : ৪১৬ পৃষ্ঠার **Problem-34** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-16** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Accounting) 2019 No– 13**

Sun Ltd. has a cost of equity of 12%, the current market value of the firm is Tk. 25,00,000 @ Tk. 25 per share. Assume values for I (new investment), E (earnings) and D (Dividends) at the end of the year as I = Tk. 14,00,000, E = Tk. 6,00,000 and D = Tk. 2 per share. Show that under the MM assumption, the payment of dividend does not affect the value of the firm.

Solution : ৪২১ পৃষ্ঠার **Problem-38** নং প্রশ্নের উত্তর দেখুন।

Chapter 05 Capital Market Financing

(মূলধন বাজার অর্থায়ন)

Part-A (Brief Questions) :

০০০ **01. What is financial market? (আর্থিক বাজার কী?)** 99% *[N.U. (Finance 3rd)-2018, 2020]*

Ans : A financial market is a mechanism for bringing together buyers and sellers of financial assets.

০০০ **02. What is secondary market?**

(মাধ্যমিক বাজার কী?) *[N.U. (Acc)-2016]*

Ans : Secondary market is the market which outstanding stocks are traded after they have been issued by companies.

০০০ **03. What is hybrid security?**

[D.U (Acc)-2016; N.U. (Finance 3rd)-2018]

Ans. Hybrid security is a form of debt or equity financing that processes characteristics of both debt and equity financing.

০০০ **04. What is underwriting? (অবলেখন কাকে বলে?)** 99%

[N.U. 2014; (Finance 3rd)-2019; D.U Acc- 2016]

Ans : Underwriting is the role of the investment bank is beating the risk of reselling at a profit the securities purchased from an issuing company at an agreed on price.

০০ **05. What is the best efforts offering?**

(সর্বোচ্চ প্রচেষ্টা প্রস্তাব কী?) *[N.U. 2013]*

Ans : The best efforts offering instead of underwriting a securities issue, investment bankers may sell the issue on a best efforts offering basis.

০০০ **06. What is green shoe provision?**

(গ্রিন সু প্রভিশন কী?) *[D.U. (Hon's)Acc-2017]*

Ans : An option given to the underwriters to purchase additional number of shares is known as over allotment option or green shoe provision.

07. What is called Initial Public Offering?
Or, What is initial public offering (IPO)?
Or, What do you mean by IPO?
Or, Define IPO. [২০২৪ সালে যা এসেছিল]
[N.U. Acc 3rd- 2018, 2022; (Finance 3rd)-2018, 2021; 4th Mgt-2017, 2019]
Ans. *When a company issues ordinary share to the public for the first time then it is known as initial public offering.*

০০০ **08. What is the elaboration of IPO?** 99%

[N.U. 2015; Acc 3rd- 2020]

Ans. IPO = Initial Public Offering.

০০০ **09. What is long-term financing?**

(দীর্ঘকালীন অর্থায়ন কী?)

Ans : Long-term financing is thought of as those which run for longer periods, typically for some period such as 10, 15, 20 years of more.

০০০ **10. What is right share? (রাইট শেয়ার কাকে বলে?)** 99% *[N.U. 2012; (Acc. 3rd) 2019, 2022; (Finance 3rd)-2020]*

Ans : The equity shares purchased by the existing shareholders under the pre-emptive right is termed as right share.

ooo 11. **What is common stock? (সাধারণ শেয়ার কী?)**

Ans : The total amount of common share of a firm is called common stock.

oooo 12 **What is pre-emptive right? (প্রি এমটিভ অধিকার কী?)**

[N.U. Acc 3rd- 2012, 2017, 2020, 2023]

Or, Define pre-emptive right. 99%

Ans : The privilege of shareholders to maintain their proportional company ownership by purchasing a proportionate share of any new issue of common stock, or securities convertible into common stock.

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 13. **Give the definition of capital market.** 99%

[N.U 2015, (Finance 3rd)2017; (Acc. 3rd) 2020, 2023]

Or, What is meant by capital market?

Or, What is capital market? (মূলধন বাজার কী?)

Ans : Capital market is the market for relatively long-term financial instruments.

ooo 14. **What is called money market?**

Or, What is money market? (মুদ্রা বাজার কী?)

[N.U. (Acc. 3rd) 2017; (Finance 3rd)-2016; 4th Mgt-2017]

Ans : A money market is a financial market for issuing and trading short-term debt securities.

ooo 15. **What is primary market? (প্রাথমিক বাজার কাকে বলে?)** 99% *[N.U. Acc 3rd- 2018; (Mgt 4rth)-2020]*

Ans : Primary market is the market in which firms issue new securities to raise corporate capital.

ooo 16. **What is new issued market? (নতুন ইস্যুকৃত বাজার কী?)** *[N.U. Acc 3rd- 2016]*

Ans : The new issue market is the market for stock of companies that go public, and the issue is called an initial public offering (IPO).

ooo 17. **What is private placement?** 99% **(ব্যক্তিগত উপস্থাপন কী?)** *[N.U. (Finance 3rd)-2018; D.U. 2017]*

Ans : A private placement is the sale of stock to only one or a few investors, usually institutional investors.

ooo 18. **What is right offering? (রাইট প্রস্তাব কী?)**

Ans : A short-term option to buy a certain number of securities from the issuing corporation; also called a subscription right.

ooo 19. **What is prospectus? (প্রোসপেকটা/ বিবরণ পত্র কী?)**

Ans : A prospectus summarizes information about a new security issue and the issuing company. *[N.U. Acc 3rd- 2017]*

ooo 20. **Define zero coupon bonds. (জিরো কুপন বন্ডের সংজ্ঞা দাও?)** 99% *[D.U. Acc 3rd- 2016]*

Ans : A zero-coupon bond is a bond bought at a price lower than its face value, with the face value repaid at the time of maturity.

ooo 21. **What is BSEC?** *[N.U. 2014; 4th Mgt-2018]*

Ans: BSEC indicates Bangladesh Securities and Exchange Commission. It is the regulator of the capital market of Bangladesh Comprising DSE and CSE. The commission is a statutory body and attached to the ministry of finance.

oooo 22 **Elaborate BSEC.** 99%

Or, What is the elaborating of BSEC?

[N.U. 2014; Acc 3rd- 2017, 2019, 2021, 2023; (Mgt 4rth) 2020; (Finance 3rd)-2019]

Or, Write down full meaning of BSEC.

Ans : The elaborating of BSEC- Bangladesh Securities and Exchange Commission.

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 23. **What is best efforts arrangement? (সর্বোচ্চ প্রচেষ্টার ব্যবস্থা চুক্তি কী?)** *[D.U. (Finance 3rd)-2016]*

Ans : The best efforts arrangement is an arrangement for the sale of securities in which the investment bank handling the transaction gives no guarantee that the securities will be sold.

ooo 24. **What is public issue?** 99% *[N.U. 2012]*

Ans. When a company offer openly to the public for raising funds, then it called public issue.

ooo 25. **What is right issue?** *[N.U. (Finance 3rd)-2017]*

Ans. A right issue is an issue of the rights to buy additional securities in a company made to the company's existing security holders.

ooo 26. **What is Junk Bond?** *[N.U. (Finance 3rd)-2016]*

Ans. The junk bond which is high risk, high yield instruments, issued by firms that use a great deal of financial leverage.

ooo 27. **What is sinking fund?** *[N.U. (Finance 3rd)-2016]*

Ans. A sinking fund is a fund containing money set aside or saved to pay off a debt or bond.

oooo 28 **What is bond refunding?** 99%

[N.U. 2013; 4th Mgt -2018; 2021 (Finance 3rd); (Acc. 3rd) 2022; 4th Mgt -2018, 2022]

Ans : Bond refunding is the paying off high-interest rate bond with new lower-interest bond.

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

ooo 29. **What is best effort offering?** *[N.U. 2013]*

Ans: Best Efforts offering instead of underwriting a securities issue, investment bankers may sell the issue on a best efforts offering basis.

ooo 30. **Does share price fall after right issue?** *[N.U. 2021 (Finance 3rd)]*

Ans. Yes, share price fall after right issue.

Part- B & C (Short & Broad Questions) :

✪✪✪ 01. Why is preffered stock called hybrid security? *[N.U. Acc-2015; Finance-2019]*
[Ans : ব্যাতিক্রম হিসাববিজ্ঞান ইঙ্গিত (৪র্থ খণ্ড) বইয়ের 432 Page 5.30 No.]

✪✪✪ 02. **What is IPO? What are the processes of IPO in Bangladesh? 99% [Ans : 428 Page 5.16+5.17 No.]**
[টেস্ট পরীক্ষা- ইডেন, সা'দত, দনিয়া বিশ্ব, যশোর সিটি ও এডওয়ার্ড কলেজ; D.U. Acc- 2016; N.U. Acc-2013, 2015, 2017]

✪✪ 03. (a) What is bond refunding? Discuss the process of bond refunding. **[Ans : 435 Page 5.41 No.]**
[N.U. BBA (Hon's) 2011, 2014, 2015]

(b) Discuss the classification of bond in brief. **[Ans : 436 Page 5.44 No.]**
[টেস্ট পরীক্ষা- ইডেন, সা'দত, সিদ্ধেশ্বরী গার্লস, সা'দত, সাতক্ষীরা সর.সিটি মনসুর আলী কলেজ; D.U. Acc- 2016; N.U. 2014; Acc-2015]

✪✪✪ 04. Explain best effort method and firm commitment method of underwriting. **[Ans : 429 Page 5.19 No.]**
Or, What is firm commitment method of underwriting? *[N.U. Acc- 2014]*

✪✪✪ **05. Discuss the features of preferred stock. 99% [Ans : 429 Page 5.18 No.]** *[N.U. Acc- 2017]*

✪✪ 06. Briefly explain underwriting as a method of public offering. **[Ans : 426 Page 5.07 No.]** *[N.U. 4th Mgt 2018]*

✪✪ 07. Distinguish between money market and capital market. **[Ans : 432 Page 5.31 No.]**
[N.U. Acc- 2018; (Finance) 2016]

✪✪ 08. What is common stock? Discuss the features of common stock in brief. **[Ans : 430 Page 5.24+5.25 No.]**
[N.U. Acc- 2020]

✪✪✪ (09) **Distinguish between right issue and public offering. 99% [Ans : 428 Page 5.15 No.]**
[টেস্ট পরীক্ষা- ঢাকা, এডওয়ার্ড ও যশোর সিটি কলেজ; D.U. 2017 (Acc.); N.U. -2013, 2015, Acc- 2017, 2021]
Or, Difference between rights issue versus public offering.
Or, Show the difference between right issue and public offering.
[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

✪✪✪ 10. **Briefly discuss the functions of capital market. 99% [Ans : Page No 425; Ques. No 5.05]**
[N.U. Acc- 2020, 2022]

✪✪ 11. Differentiate between private replacement and public issue. **[Ans : 433 Page 5.34 No.]**
Or, Show the difference between private placement and public issue. *[N.U. 2011, Acc- 2018, 2022]*

✪✪✪ (12) **(a) What is capital market? Briefly discuss various types of capital market. 99%**
[Ans : 424+425 Page 5.01+5.02 No.] *[N.U. Acc- 2016, 2023]*
(b) Briefly discuss the role of Security Exchange Commission (SEC) for capital market in Bangladesh. 99% [Ans : 434 Page 5.39 No.] *[N.U. (Acc) 2016, 2023]*
[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

4. Show the differences between bond and common stock. **[Ans : Page No. 433; Ques. No. 5.33]**
Or, Distinguish between bond and common stock. *[D.U. 2017 (Acc.); N.U. 2012, 2014, Acc- 2017, 2024]*

Help Line *Dear Students, In above Suggestions Part-B and Part-C 09, 10 & 12 No. Questions in are most important for the Examinee of 2025.* ..... Editor

গাণিতিক সমস্যাবলি ও সমাধান (Mathematical Problems & Solution)

Easy Math Basic Problem : Category-B & C

✪✪ **Problem-01** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2018 No–06**
Dr. Awal wishes to know how many shares are necessary to elect 4 directors out of the 11 directors up for the election in the MFC Ltd. There are 1,50,000 shares outstanding.

Solution : ব্যাতিক্রম হিসাববিজ্ঞান ইঙ্গিত (৪র্থ খণ্ড) বইয়ের ৪৩৯ পৃষ্ঠার **Problem-01** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-02** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 4th Year Mgt 2020 No–6; 2022 No–6**

X Ltd. is considering a rights offer. The company has determined that ex-rights price would be Tk. 74. Subscription price is Tk. 44. One new share of stock can be purchased for each five shares currently owned.

You are required to calculate market price share.

Solution : ৪৩৯ পৃষ্ঠার **Problem-03** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-03** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 4th Year Management 2020 No–8**

A firm has 10 million shares outstanding with a market price of Tk. 20 per share. The firm has Tk. 25 million in extra cash (short-term investments) that it plans to use in a stock repurchase; the firm has no other financial investments or any debt.

How many shares will remain after the repurchase?

Solution : ৪৪০ পৃষ্ঠার **Problem-04** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-04** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 4th Year Management 2019 No– 08**

Mr. John has 10,000 equity shares of a company. Recently the company declared a right offering which 5,000 new shares to be issued at Tk. 10 each. At present the company has 1,00,000 shares in market at Tk. 50 per share. How many shares will be able to purchase by Mr. John under propose right offer?

Solution : ৪৪০ পৃষ্ঠার **Problem-05** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-05** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting- 2021 No–06**

The stock of Nadia Ltd. is selling for Tk. 50 per share. The company then issues right to subscribe to one new share at Tk. 40 for each five right held. Compute the theoretical value of—

(a) A right when the stock is selling right on.

(b) A right when the stock sells ex-rights at Tk. 50.

Solution : ৪৪১ পৃষ্ঠার **Problem-08** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-06** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2014 No–08; 3rd (Accounting) 2020 No–14**

The Star Industries limited/The Sun-Moon Company Limited has 5,00,000 shares outstanding at current market price of Tk. 130 per share. The company needs Tk. 20 million to finance the proposed project. The board of the company has decided to issue rights for raising the required money. The subscription (issue) price has been fixed at Tk. 100 per share.

Required :

(a) How many rights required to purchase a new share?

(b) Calculate the price of the share after right issue.

Solution : ৪৪২ পৃষ্ঠার **Problem-10** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-07** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Accounting) 2019 No– 05**

The stock of Maya Company is being sold for Tk. 200. The company wants to issue rights to subscribe for one additional at Tk. 175 for each of 10 held. What will be the theoretical value of (a) a right when the stock is selling rights or (b) Market price of a share when it goes ex-rights?

Solution : ৪৪৩ পৃষ্ঠার **Problem-11** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-08** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2023 No–6**

Maha Ltd. is proposing a right offering. Presently the company has 2,00,000 shares outstanding at Tk. 80 each. There will be 50,000 new shares offered at Tk. 60 each.

Required :

(a) What is the new market value of the company?

(b) What is the ex-right price?

Solution : ৪৪৫ পৃষ্ঠার **Problem-15** নং প্রশ্নের উত্তর দেখুন।

০০০ (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

ooo **Problem-09** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2023 No–15**

Susmita Inc. is proposing a rights offering. Presently they have 2,40,000 shares outstanding at Tk. 100 each. There will be 60,000 new shares offered at Tk. 80 each.

Required :

(a) How many rights needed to purchase one new share?

(b) What is the ex-right price?

(c) What is the value of a right?

(d) Why might a company have a right offerings rather than a general cash offer?

Solution : ৪৪৬ পৃষ্ঠার **Problem-17** নং প্রশ্নের উত্তর দেখুন।

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

oo **Problem-10** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2016 No–14**

Saniat corporation is planning to market a new product. To finance the venture is proposed to make a right issue at Tk. 10 of one new share for each two shares held. The company currently has outstanding 1,00,000 shares priced at Tk. 40 per share. Assuming that the new money is invested to earn a fair return, find the values for the following :

(i) Number of new issued shares.

(ii) Number of rights needed to buy one share.

(iii) Amount of new investment.

(iv) Total value of the company after issue.

(v) Total number of shares after issue.

Solution : ৪৫০ পৃষ্ঠার **Problem-22** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-11** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2020 No–16**

ACI Ltd. currently has 10,00,000 shares outstanding at current market price of Tk. 120 per share. The company needs Tk. 2,00,00,000 for proposed project. The board of director of the company has decided to collect fund by issuing right share. The subscription price has been set at Tk. 70 per share.

Calculate :

(a) Number of new shares to be required to collect fund

(b) Number of right

(c) The price of share after right issue

(d) The price of ex-right

(e) The price of share under right on.

Solution : ৪৫৩ পৃষ্ঠার **Problem-26** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-12** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 2010; 3rd Accounting 2017 No–13**

Mr. Hassan/Mr. Roy own five shares of XYZ Ltd. common stock. Market value of stock is Tk: 70. Mr. Roy also have to Tk. 58 cash. He has just received word of a right offering. One new share can be purchased at Tk. 58 for each 5 shares currently owned (based on 5 rights).

Required :

(a) What is the value of rights?

(b) What is the value of after right per share?

(c) What is the value of Mr. Roy portfolio before the right offering?

(d) What is the value of Mr. Roy portfolio if the participate in the right offering?

Solution : ৪৫৪ পৃষ্ঠার **Problem-27** নং প্রশ্নের উত্তর দেখুন।

[২০২৪ সালের পরীক্ষায় যা এসেছিল-]

Problem-13 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2021 No–14; 2024 No–15**

Messi owns five shares of a company/RIPA owns five shares of LILY corporation. The market value of stock is Tk. 60. RIPA also have Tk. 48 in cash. She has received a right offering one new share of stock can be purchased at Tk. 48 for each five shares held.

(a) What is the value of rights?
(b) What is value of after rights per share?
(c) What is value of RIPA's portfolio before right offering?
(d) What is value of RIPA's portfolio if she participates in right offering?
(e) What is value of RIPA's portfolio if she sells her rights?

Solution : ৪৫৫ পৃষ্ঠার **Problem-28** নং প্রশ্নের উত্তর দেখুন।

Problem-14 ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Accounting) 2019 No–14**

The Big Boss Corporation has announced a rights offer to raise Tk. 30,00,000 for a new journal, the journal of financial express. This journal will review potential articles after the author pays a non refundable reviewing fee of Tk. 3,000 per page. The stock is selling Tk. 60 per share currently and there are 2,40,000 shares outstanding.

(i) If the subscription price is set Tk. 50 per share, how many shares must be sold?
(ii) How many rights will it take to buy one share?
(iii) What is the ex-right price?
(iv) What is the value of a right?
(v) Show how a shareholder with 1,000 shares before the offering and no desire to buy additional shares is not harmed by the right offer.

Solution : ৪৫৭ পৃষ্ঠার **Problem-30** নং প্রশ্নের উত্তর দেখুন।

Chapter 06 Lease Financing

(ইজারা অর্থায়ন)

Part-A (Brief Questions) :

01. **What is lease financing? (ইজারা অর্থায়ন কী?)** 99%

[N.U. Old-2012; 2018, 2021, 2023 (Acc 3rd); (Finance 3rd)- 2018; (Mgt 4th)-2020]

Ans : Lease financing is the process by which a firm can obtain the use of certain fixed assets for which it must make a series of contractual, periodic, tax deductible payments.

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

02. **What is operating lease? 99% (পরিচালন ইজারা কী?)** *[N.U. 2013; Acc 3rd- 2017; D.U. Acc-2017]*

Ans : Operating lease is short-term lease used to finance asset and is not fully amortized over the life of the asset.

03. **What is international lease?** *[N.U. 4th Mgt-2018]*

Ans : An international lease refers to a type of lease agreement where one or more parties and located or domiciled in different countries.

04. **What is financial lease? (আর্থিক ইজারা কী?)** 99%

[N.U. 2016]

Ans : Financial lease is the lease used in connection with long-term assets and amortize the entire cost of the asset over the life of lease.

05. What is sale and lease back? (বিক্রয় ও ইজারা গ্রহণ কী?) [২০২৪ সালে যা এসেছিল]

[N.U.2014, 2015; 2016 (Finance 3rd); cc)-2024]

Ans : Under the sale and lease back arrangement, the firm sells an asset that it owns and then leases to same asset back from the buyer.

06. **What is direct lease? (প্রত্যক্ষ ইজারা কী?)**

[N.U. (Finance 3rd)2017]

Ans : When the lease belongs to the owner of the assets and users of the assets with direct relationship it is called as direct lease.

ooo 07. **What is lease?** *[N.U. 2014]*

Ans. Lease is a contract between a lessor (the owner of the assets) and a lessee (the user of the assets.)

oo 08. **Who is lessee? (ইজারা গ্রহীতা কে?)**

Ans : Lessee is the receiver of the service of the assets under a lease contract. Lease assets may be firms or companies.

ooo 09. **What is residual value?** 99% *[N.U. (Mgt 4th)-2019]*

Ans. The value of a leased asset at the end of the lease period is called residual value.

ooo 10. **What is lease rental?** *[N.U. (Mgt 4th) -2017]*

Ans. The lesses pays to the lessor for the lease transaction is the lease rental.

ooo 11. **What is the formula to calculate loan installment at the beginning of the year?** *[N.U. (Mgt 4th) -2017]*

Ans. $$A = \frac{Pv \times i}{\left\{1 - \frac{1}{(1+i)^n}(1+i)\right\}}$$

i = Interest rate

n = No. of years

oo 12. **What is hire purchase?** *[N.U. 2013]*

Ans: Hire purchaser is an arrangement for buying expensive consumer goods, where the buyer makes an initial down payment and pays the balance plus interest in installments.

oo★ (13) **What do you mean by capital lease?** 99% *[N.U.2021 (Finance 3rd)]*

Ans. Capital lease is a relatively long-term lease and non-cancelable in nature.

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

Part- B & C (Short & Broad Questions) :

ooo 01. (a) Define lease financing.

[Ans : রিবিএ হিসাববিজ্ঞান হাইলাইটস (৪র্থ খণ্ড) বইয়ের 460 Page 6.01 No.]

Or, What do you mean by lease financing?

(b) Discuss the classification of lease. [Ans : 460 Page 6.03 No.] *[N.U. (Acc)-2016]*

ooo 02. Explain the impact of financial leasing on the cash-flow of a firm. [Ans : 461 Page 6.04 No.] *[D.U. 2017 (Acc.); N.U. 2012]*

oo 03. Difference/Distinction/Distinguish between hire purchase and lease financing. [Ans : 463 Page 6.12 No.]

ooo 04. **Mention the five disadvantage of lease finanancial.** 99% [Ans : 462 Page 6.07 No.] *[N.U. 2019 (Acc)]*

Or, Indicate the disadvantages of lease finanancial.

oo 05. Write down the advantages of lease financing. [Ans : 461 Page 6.06 No.] *[N.U. 2019, 2021]*

Or, Discuss the advantages of lease.

ooo★ (06) **What are the differences between operating lease and financial lease?** 99% [Ans : 463 Page 6.11 No.] *[N.U. 2012, 2016, 2019, 2022 (Acc.); 2017 (Finance)]*

Or, What are the differences between operating lease and capital lease?

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

ooo★ (07) **(a) Discuss different methods of lease.** 99% [Ans : 461 Page 6.05 No.]

[টেস্ট পরীক্ষা- সিদ্ধেশ্বরী গার্লস, মনসুর আলি, সাতক্ষীরা সর, সিটি, বিএম, সিদ্ধেশ্বরী কলেজ; N.U. 2014; (Acc.) 2022]

(b) Distinguish between lease and purchase. 99% [Ans : 465 Page 6.18 No.] *[N.U. 2014, 2019, 2022]*

[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

[২০২৪ সালের পরীক্ষায় যা এসেছিল-]

11.. (a) What are the objectives of lease financing as organized in Bangladesh? **[Ans : Page No. 464; Ques. No. 6.14]**

Or, Discuss the objectives of lease financing as organized in Bangladesh? *[N.U. Acc. 3rd-2018, 2024]*

Or, Lease financing, as organized in Bangladesh, operates with the following objectives.

Help Line ***Dear Students, In above Suggestions Part-B and Part-C : 06 & 07 No. Questions In are most Important for the Examinee of 2025.*** ..... ***Editor***

গাণিতিক সমস্যাবলি ও সমাধান (Mathematical Problems & Solution)

Easy Math Basic Problem : Category-B & C

oo **Problem-01** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 4th Year Mgt. 2019 No–15(b)**

Cost of an asset is Tk. 18 lakh. A 5-year lease of the asset is proposed to yield 12% return to the lessor ignoring taxes. The salvage value of the asset is nil. Determine equal lease rentals if payments made quarterly.

Solution : হিসাববিজ্ঞান ইন্টারপ্রেস (৪র্থ খণ্ড) বইয়ের ৪৬৭ পৃষ্ঠার **Problem-02** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-02** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Accounting) 2019 No– 08**

Cost of an asset is Tk. 25 lakh. A 6 years lease of the asset is proposed to yield 10% return to the lessor ignoring taxes. The salvage value is Tk. 1,00,000. Determine equal lease rental if payments are made quarterly.

Solution : ৪৬৮ পৃষ্ঠার **Problem-03** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-03** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2023 No–7**

ABC car Ltd. is faced with a decision to acquire on lease a mini car. The cost of mini car is Tk. 3,00,000. It has a life of 5 years. The leasing company desire a return of 12% on the gross value of the asset.

Find out lease rental installment if—

(i) To be paid at the beginning of each year.

(ii) To be paid at the end of each year.

Solution : ৪৬৯ পৃষ্ঠার **Problem-05** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-04** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting- 2021 No–15**

Omega Ltd. needs to acquire a machine costing Tk. 7,00,000. The company follows straight line method of depreciation. The salvage value of the machine is estimated to be Tk. 50,000 at the end of 5 years. The company can borrow the required sum from a bank at 14% interest. The company can also acquire the machine by taking lease from a leasing company for annual rental of Tk. 1,50,000 to be paid in advance each year for 5 years.

Which alternative should the company accept?

Solution : ৪৭০ পৃষ্ঠার **Problem-07** নং প্রশ্নের উত্তর দেখুন।

[২০২৪ সালের পরীক্ষায় যা এসেছিল-

XX **Problem-05** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) Old 2012 No-14; 3rd Marketing 2016 No–15; 2019 No-15; 3rd Finance 2021 No–14(b); 3rd Acc. 2024 No–16**

A company needs to acquire an equipment that will cost Tk. 3,35,200. The company has two alternatives to finance the equipment.

(a) To take lease from united Leasing Company for 5 years with an annual lease payment of Tk. 1,20,000 to be paid at the end of each year.

(b) To take loan from Sonali Bank PLC at 15 percent interest p.a. repayable annually at the end of each of the 5 years in equal installments. The equipment will be depreciated on straight line basis. Corporate tax rate is 40 percent. Which offer the company should accept? Why?

Solution : ৪৭১ পৃষ্ঠার **Problem-08** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-06** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd(Old) 2015 No–13; 4th Year Management 2020 No–15**

A company/Shadman Company is thinking to purchase a machine for Tk. 12,500. The company can borrow Tk. 12,500 at an interest rate of 12% to be repaid in 5 equal installments or it can take the machine for an annual lease payment of Tk. 3,000. Straight line basis of depreciation is allowed. The company pay tax @ 40%. Which alternative should the company accept?

Solution : ৪৭৪ পৃষ্ঠার **Problem-10** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-07** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting- 2022 No–17**

Orchid Co. Ltd needs to require a new machine costing Tk. 8,00,000. There are two alternative way of financing.

(i) To take loan from Sonali Bank PLC @ 10% interest payable at the end of each year in equal installment for 4 years.

(ii) To take lease IDLC Ltd. for 4 years with annual payment of Tk. 2,20,000 to be paid at the end of each years.

Required : Which offers the company should accept? Assume the corporate tax rate is 35% and SLM of depreciation is applicable.

Solution : ৪৭৫ পৃষ্ঠার **Problem-11** নং প্রশ্নের উত্তর দেখুন।

ooo (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

ooo **Problem-08** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2009 ; 3rd (Acc.) 2020 No–15**

Mahi Co. Ltd/Rupali Ltd. needs to acquire a new machine costing Tk. 5,00,000. The company has got two alternative methods of financing :

(i) To take loan from NCC Bank @ 16% interest, payable at the end of each year in equal installment for four years;

(ii) To take lease from IDLC Ltd. for four years with an annual payment of Tk. 2,20,000 to be paid at the end of each year. Which alternative the company should accept? Assume a 35% corporate tax rate and straight line method of depreciation is applied.

Solution : ৪৮২ পৃষ্ঠার **Problem-16** নং প্রশ্নের উত্তর দেখুন।

oo **Problem-09** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Finance) 2019 No–16**

Padma Ltd. needs to invest in a van in order to distribute their product and have to choose between buying and leasing it. The van can be leased for a four years period at Tk. 4,00,000 per annum. The maintenance and service cost are estimated to be Tk. 70,000 each year. Padma Ltd. can buy the van for Tk. 12,00,000 and at the end of four years the van will be sold for Tk. 2,00,000. The company's cost of borrowing is 12%. Should Padma Ltd. buy or lease the van? Assume tax rate is 40%.

Solution : ৪৮৬ পৃষ্ঠার **Problem-19** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-10** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2016 No–13; 2023 No–16**

Ayesha/Mehrin is to decide whether a computer is to be purchased through 12% borrowing or to be aequired on lease rent basis. The price of the computer is Tk. 3,00,000. It's annual maintenance cost Tk. 25,000 per year and expected life is 5 years. Tax rate is 40% and straight line method of depreciation is allowable. The salvage value of the computer is Tk. 50,000. In case of leasing, annual lease rental is Tk. 1,00,000 for 5 equal annual installment including maintenance cost Tk. 25,000 and maintenance cost to be borne by lessor. If the installation is given at beginning of the year for both lease and buy option, which alternative is best for Mehrin?

Solution : ৪৯১ পৃষ্ঠার **Problem-22** নং প্রশ্নের উত্তর দেখুন।

ooo (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

oo **Problem-11** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2016 No–16**

XYZ limited wants to lease a computer system for the purpose of colour matching. The system will cost Tk. 30 lakh and has a 5 years of life time. The applicable written-down depreciation is 25% the annual rental is payable at the end of year for 5 years, will be Tk. 8.4 lakh. The lesser will maintain the computer system which will be Tk. 50,000 per year. At the end of its useful life, the system can be sold for 50% of its depreciated value. The company's borrowing rate is 14% and tax rate is 35%. Should the system be leased? Show your calculation.

Solution : ৪৯৫ পৃষ্ঠার **Problem-25** নং প্রশ্নের উত্তর দেখুন।

Chapter 07 Working Capital Management

(কার্যকরী/চলতি মূলধন ব্যবস্থাপনা)

Part-A (Brief Questions) :

o 01. **What is working capital? (চলতি মূলধন কী?)** *[N.U. (Finance 3rd)-2017; D.U. (Acc)-2017]*

Ans : Working capital simply refers to the capital which is required to finance current assets.

ooo 02. **What is gross working capital? (মোট চলতি মূলধন কী?)** 99% *[N.U. Acc 3rd-2019; 4th Mgt-2019]*

Ans : Total amount invested in the current assets of a company is termed as gross working capital.

03 **What is meant by net working capital?**
Or, What is net working capital? (নিট চলতি মূলধন কী?) 99%
[N.U. 2015; (Acc. 3rd) 2017, 2018, 2021, 2022]
Ans : Net working capital refers to the difference between current assets and current liabilities.
[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

04 **Define operating cycle.** 99%
Or, What is operating cycle?
[N.U. (Old)-2014; (Finance 3rd)-2018; 4th Mgt-2018; 2021 (Acc. 3rd)]
Ans. The time period between the requisition of inventory and the collection of cash from receivables is called operating cycle.
[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত 99% প্রশ্নটি ১০০% গুরুত্বসহকারে পড়তে হবে। -সম্পাদক]

05. **What is permanent working capital? (স্থায়ী চলতি মূলধন কী?)** *[D.U. (Hon's)Acc-2017]*
Ans : Parmanent warking capital refers to the minimum amount of current assets that a business must maintain at all times to ensure uniterrupted operations.

06. **What is working capital cycle?**
[N.U. (Finance 3rd)-2021]
Ans. The working capital cycle measures the time between paying suppliers for goods and receiving cash from customers after selling those goods.

07. **What is working capital management? (চলতি মূলধন ব্যবস্থাপনা কী?)** *[N.U. 2013]*
Ans : Working capital management is the management of current assets, current liabilities and the relationship between them.

08. **What is spontaneous financing? (স্বতঃস্ফূর্ত অর্থায়ন কী?)** 99% *[N.U. Acc 3rd- 2018]*
Ans. Spontaneous financing consists of the trade credit and other accounts payable which arise "spontaneously" in the firm's day to day operations.

09. **How much time required determining the term assets? (মেয়াদি সম্পত্তি নির্ণয়ের সময়কাল কত?)**
Ans : Long-term sources of fund have maturities longer than five years. Intermediate-term financing includes those sources of funds having maturities longer than one but less than five years. Short-term financing must be repaid within one year.

10. **Write down the name of five current assets. (পাঁচটি চলতি সম্পত্তির নাম লিখ।)**
Ans : Cash, Short-term securities, Bill receivable, Note receivable, Prepaid expenses etc.

11. **Full form of CCC.**
Ans : The full form of CCC is Cash Conversion Cycle.

12. **What is inventory turnover?** *[N.U. 4th Mgt 2019]*
Ans. Inventory turnover is a ratio showing how many times a company has sold and replaced inventory during a given period.

13. **What is Economic Order Quantity (EOQ)?**
Or, What is EOQ?
[N.U. (Finance 3rd)- 2016 ; Acc 3rd-2019]
Ans. The order size associated with minimized cost is called economic order quantity.

14. **What is venture capital?**
[N.U. (Finance 3rd)-2020]
Ans. Venture capital is the provision of risk-bearning capital, usually in the form of a participation in equity to companies with high growth potential.

15. **What is Lock Box system?** 99%
[N.U. (Finance 3rd)-2020]
Ans. Lock box system is simply a post office box that your bank establishes for your business and that bank will control.

Part- B & C (Short & Broad Questions) :

01. Why is cash management important?
[Ans : হিসাববিজ্ঞান ইজিপ্রেস (৪র্থ খণ্ড) বইয়ের 506 Page 7.22 No.] *[D.U. 2016 (Finance)]*
Or, Important of Cash management.

02. **(a) What are the objectives of working capital managament.** 99% **[Ans : 506 Page 7.24 No.]** *[N.U. 2015]*
(b) Graphically explain the policies of working capital. 99% **[Ans : 505 Page 7.18 No.]**
[N.U. (Finance)-2016; 2016 (Acc)]
Or, What is working capital? Briefly discuss various policies of financing working capital.

03. Describe the determinants of working capital. **[Ans : 504 Page 7.16 No.]**
Or, Discuss the factors affecting the level of working capital. *[টেস্ট পরীক্ষা-কবি নজরুল, বিএম, ঢাকা, বিএম, এমএম, এডওয়ার্ড ও যশোর সিটি কলেজ; N.U: BBA(Hon's) 2011, 2013 ; (Finance)-2018; 4th Mgt-2018]*

04. **Briefly discuss the importances of working capital in a firm.** 99% **[Ans : 500 Page 7.07 No.]**
Or, Discuss the advantage of working capital. *[N.U. Acc- 2016]*

05. What are the impacts of inadequate working capital. **[Ans : 505 Page 7.17 No.]** *[N.U. Acc- 2016]*

06. **What is Zero Coupon Bond? Why do investors buy it although it has no coupon interest?** 99%
[Ans : 510 Page 7.36 No.] *[N.U. Acc- 2015, 2018]*
Or, What is zero coupon bonds? Why do investors buy it although it has no coupon interest?

০০০ 07. Explain the aggressive approach of working capital management. [Ans : 510 Page 7.37 No.] *[N.U. 2015 (Acc. 3rd)]*

০০০ 08. Briefly discuss the motives for holding cash. [Ans : 507 Page 7.26 No.] *[N.U. 2016 (Acc. 3rd)]*

০০০ (09) **(a) Define working capital management. 99% [Ans : Page No 506; Ques. No 7.23]**
Or, What is working capital management? *[N.U. BBA 2013, 2018, 2022 (Acc.) Mgt-2018]*
(b) Why it is important to study the management of working capital as a separate area is financial management? 99% [Ans : 507 Page 7.27 No.] *[N.U. BBA (Hon's) 4th (Acc.) 2018, 2022; Mgt-2018]*
[রকেট স্পেশাল সাজেশন্স : উপরিউক্ত ৯৯% প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

০০০ 10. Discuss different types of working capital in brief. 99% [Ans : 499 Page 7.04 No.] *[N.U. 2023 (Acc. 3rd)]*

Help Line *Dear Students, In above Suggestions Part-B and Part-C : 04, 06 & 09 No. Questions in are most important for the Examinee of 2025. .... Editor*

গাণিতিক সমস্যাবলি ও সমাধান (Mathematical Problems & Solution)

Easy Math Basic Problem : Category-B & C

০০০ **Problem-01** ***Year Question & Solution*** ⊙ **D.U. BBA (Hon's) 3rd (Acc.) N.U. BBA (Hon's) 2017 No–11(b); 3rd (Old) 2015 No–15(b)**
Zebra company has average age of inventory of 60 days, an average collection period of 30 days. Average payment period is 15 days. Calculate operating cycle and cash conversion cycle.

Solution : রকেট হিসাববিজ্ঞান ইজিপ্লেস (৪র্থ খণ্ড) বইয়ের ৫১৩ পৃষ্ঠার **Problem-01** নং প্রশ্নের উত্তর দেখুন।

০০ **Problem-02** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2021 No–15(b)**
NK Ltd. has an inventory turnover of 10 times each year, an average collection period of 60 days and an average payment period of 46 day. Assuming a 360 day year. Find the firm's operating cycle of cash conversion cycle.

Solution : ৫১৪ পৃষ্ঠার **Problem-04** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-03** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2016 No–07**
Following information are obtained from Nokshi traders :
(i) Debtors are collected after 45 days; Inventories average holding period 75 days and creditors payment period is 30 days.
(ii) Annual expenditure of the firm is Tk. 120 lakhs.
Required :
(a) Cash conversion cycle (CCC) and cash turnover ratio;
(b) Minimum amounts of cash to be maintained by the firm.

Solution : ৫১৬ পৃষ্ঠার **Problem-07** নং প্রশ্নের উত্তর দেখুন।

[২০২৪ সালের পরীক্ষায় যা এসেছিল-]

✗✗ **Problem-04** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2024 No–9**
A trading firm's accounts receivable are collected after 45 days; inventories have an average holding period of 75 days and creditors payment period on an average is 30 days. The firm spends Tk. 120 lakh annually and has an opportunity cost of 10%. Compute savings by reducing average inventory holding period by 30 days.

Solution : ৬০৭ পৃষ্ঠার **Question No-09** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-05** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Acc.) 2022 No– 07**
Arman Food Co. Ltd is concerned about managing cash efficiently. On the average, inventories have an average age of 90 days and accounts receivable are collected in 60 days. Accounts payable are paid approximately 30 days after they arise. The firm spends Tk. 30 million on operating cycle investments each year, at a constant rate. Assuming a 360 days year :

Required :

(a) Calculate the firm's operating cycle.
(b) Calculate the firm's cash conversion cycle.
(c) Calculate the amount of negotiated financing required to support the firm's cash conversion cycle.

Solution : ৫১৭ পৃষ্ঠার **Problem-09** নং প্রশ্নের উত্তর দেখুন।

০০০ (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। -সম্পাদক]

০০০ **Problem-06** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Acc.) 2019 No– 07**

Metro Co. has a policy of maintaining a minimum cash balance of Tk. 1,00,000. The standard deviation of the company's daily cash flows is Tk. 40,000. The annual interest rate is 15%. The transaction cost of buying on selling securities is Tk. 30 per transactions.

Required :

(a) Lower limit
(b) Upper limit
(c) Average cash balance

Solution : ৫১৯ পৃষ্ঠার **Problem-12** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-07** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2012 No–15; Acc 2016 No–15**

Appex Ltd./Grameen Phone Ltd. estimated annual cash requirement is Tk. 30 Lakh; the annual interest rate of marketable securities is 10%. The transaction cost of marketable securities is Tk. 50 of each time of transfer.

Required :

(a) Calculate the optimum level of cash to be maintained.
(b) Number of times transactions should be executed in a year.
(c) Show the calculation of total cost of different levels of cash holdings.
(You can assume imaginary transaction size.)

Solution : ৫২০ পৃষ্ঠার **Problem-14** নং প্রশ্নের উত্তর দেখুন।

০০ **Problem-08** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Old) 2014 No–16**

As a Management Accountant of Alfa Bangladesh Company, you are required to prepare a statement showing working capital requirement for 24,000 units of production in the next year. The following information is given below for this purpose.

(i) Cost :

Direct Raw-materials cost per unit Tk. 20
Direct Labor cost per unit Tk. 8
Overhead (100% of direct labor)
Profit 20% of selling price.

(ii) Conversion period :

(a) Raw-materials are expected to be in the stock for an average of 30 days before issue of production.
(b) Processing time is 15 days and finished goods are expected to remain in the store on an average for 45 days.
(c) Credit allowed to debtors 2 months; whereas the creditors allowed only 1 month.
(d) Time lag in payment of wages in 15 days.

Solution : ৫২৫ পৃষ্ঠার **Problem-19** নং প্রশ্নের উত্তর দেখুন।

০০ **Problem-09** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2017 No–17**

From the following information you working capital :

	Taka
Raw material	400 per unit
Direct labor	150 per unit
Overheads (excluding depreciation)	300 per unit
Total cost	850 per unit

Additional information :	
Selling price	1,000 per unit
Output	52,000 per units
Raw materials in store	average 4 weeks
Work-in-process (assumed 50% completion with full material consumption)	average 2 weeks
Finished goods in warehouse	average 4 weeks
Credit allowed by suppliers	average 4 weeks
Credit allowed to customers	average 8 weeks
Cash at bank is expected to be Tk. 50,000	
25% of purchases are made for cash.	

Assume that production is sustained at an even pace during the 52 weeks of the year. All sales are on credit basis.

Solution : ৫২৭ পৃষ্ঠার **Problem-21** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-10** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2023 No–17**

From the following information prepare a statement showing the estimated working capital requirement :

(i)	Projected annual sales	27,000 units
(ii)	Selling price per unit	Tk. 80
(iii)	Analysis of selling price :	
	Materials 40%, Labour 30%,	
	Overhead 20%, Profit 10%	
(iv)	Time lag (on average)	
	Raw materials in stock	4 Weeks
	Production process	3 Weeks
	Credit to debtors	5 Weeks
	Credit from suppliers	3 Weeks
	Finished goods are in warehouse	2 Weeks
	Lag in payment of wages and overheads	2 Weeks
(v)	Cash in hand is expected to be 10% of net working capital.	

Solution : ৫৩১ পৃষ্ঠার **Problem-24** নং প্রশ্নের উত্তর দেখুন।

ooo (৯৯%) [রকেট স্পেশাল সাজেশন্স : উপরিউক্ত প্রশ্নটি ১০০% গুরুত্ব সহকারে পড়তে হবে। –সম্পাদক]

ooo **Problem-11** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2022 No–16**

From the following information of Bishal Center Ltd. forecast working capital requirement :

(a) Annual expected sales Tk. 1,80,000.

(b) Elements of cost (as % of sales)
Materials 50%
Direct labor 25%
Overheads 15%
Profit 10%

(c) Raw materials in store average 1 month.

(d) Work-in-progress average 2 months

(e) Finished goods remain in store average 2 months.

(f) Credit allowed by creditors average $1\frac{1}{2}$ months.

(g) Lag in payment of wages and overheads average 1 month.

(h) Minimum cash balance of Tk. 25,000 is expected to be maintained. It is assumed that production is carried on evenly throughout the year and wages and overheads accrue similarly.

Solution : ৫৩২ পৃষ্ঠার **Problem-25** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-12** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Finance 2018 No–16**

The Appex Shoe Ltd. has the following information about the production :–

Particulars	Taka
Raw materials	200 per unit
Direct labour	80 per unit
Overhead	150 per unit
Total cost	430 per unit
Profit	70 per unit
Selling price	500 per unit

Additional information :

(i) Stock of raw materials average one month
(ii) Work in process 20 days
(iii) Stock of finished goods one month
(iv) Credit allowed by suppliers 45 days
(v) Credit allowed to debtors 60 days
(vi) Lag of payment of wages 15 days
(vii) Lag of payment in overhead 30 days
(viii) Cash sales 25% and credit sales 75%
(ix) Cash in hands and cash at bank Tk. 90,000.

You are required to determine working capital requirement of the company for 1,50,000 units. Assume the working process completion stage of 60% all items.

Solution : ৫৩৫ পৃষ্ঠার **Problem-27** নং প্রশ্নের উত্তর দেখুন।

ooo **Problem-13** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Acc.) 2019 No–15**

From the following information presented by a manufacturing company prepare a working capital requirement forecast statement for the next year :

Expected monthly sales 64,000 units at Tk 20 p.u. The anticipated ratios of cost to selling price are :

Raw materials	50%
Labour	30%

Budgeted overheads Tk. 40,000 per week. Overhead expenses included depreciation of Tk. 8,000 per week. Planned stock will include raw materials for Tk. 1,92,000 and 16,000 units of finished goods. Materials will stay in process for 2 week credit allowed to customers is 5 weeks, credit allowed by suppliers is 1 month. Lag in payment of overhead is 2 weeks. 25% of sales may be assumed against cash and cash in hand is expected to be Tk. 1,00,000. Assume that production is carried on evenly throughout the year and wages and overheads accrue similarly. A time period of 4 weeks is equivalent to a month.

Solution : ৫৩৭ পৃষ্ঠার **Problem-29** নং প্রশ্নের উত্তর দেখুন।

২০২৪ সালের পরীক্ষায় যা এসেছিল-

⊠⊠ **Problem-14** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Acc. 2017 No–16; 2024 No–17**

The cost accountant provided with the following information about production cost and other related issues of a company. As the financial manager of the company you are required to calculate the working capital requirement :

Expected monthly sales 32,000 units @ Tk. 10 per unit. The anticipated ratio of cost on selling price are :

Raw materials 40%

Labour 30%

Budgeted overhead Tk. 16,000 per week overhead expenses include depreciation of Tk. 4,000 per week.

Planned stock will include raw materials for Tk. 96,000 and 16,000 units of finished goods.

Other information :

(i) Materials will stay in process for 2 weeks.
(ii) Credit period allowed to account receivable 5 weeks.
(iii) Credit period by suppliers 1 month.
(iv) Lag in payment of overhead 2 weeks.
(v) Cash in hand and Bank balance is expected to Tk. 25,000.

Assume that production is carried on evenly throughout the year. Wages and overheads occur similarly. A time period of 4 weeks is equivalent to a month.

Solution : ৫৩৯ পৃষ্ঠার **Problem-30** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-15** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd (Accounting) 2020 No–16**

As the financial manager of Omega Ltd. you are required to prepare a working capital requirement forecast for producing 30,000 units of products next year. The following informations are provided for the purpose:

Direct material cost per unit—Tk. 30

Direct labour cost per unit—Tk. 10

Overheads (100% of direct labour)

Profit is 20% of selling price.

Other information :

(i) Raw materials are expected to be in stock for an average of 30 days.

(ii) Processing time is 15 days.

(iii) Finished goods are expected to remain in the store for 45 days.

(iv) Credit allowed to debtors for 2 months and credit allowed by the creditors only for 1 month.

(v) Lag in payment of wages 15 days.

Solution : ৫৪২ পৃষ্ঠার **Problem-33** নং প্রশ্নের উত্তর দেখুন।

০০০ **Problem-16** ***Year Question & Solution*** ⊙ **N.U. BBA (Hon's) 3rd Accounting- 2021 No–17**

One of your clients, Care Ltd. is about to commence a new business and finance has been provided for fixed assets. They have, however, asked you to advise the additional amount which they should make available for working capital. They provide you with the following estimate for their first year and inform you that they have made an arrangement of overdraft limit with their banker of Tk. 1,50,000.

	Average period of credit	Estimate for the first year
Purchase of materials	6 weeks	Tk. 26,00,000
Wages	$1\frac{1}{2}$ weeks	19,50,000
Overheads :		
Rent etc.	6 months	1,00,000
Director's & Managers salaries	1 months	3,60,000
Traveller's and office salaries	2 weeks	4,55,000
Traveller's commission	3 months	2,00,000
Other overheads	2 months	6,00,000
Sales :		
Cash	—	1,40,000
Credit	7 weeks	65,00,000
Average amount of stocks and work-in-progress	—	3,00,000
Average amount of undrawn profit	—	3,10,000

Sales were made at an even rate for the year.

You are required to prepare from the above figures and information, a table for submission to your client, giving an estimate of the average amount of working capital which they should make available.

Solution : ৫৪৮ পৃষ্ঠার **Problem-38** নং প্রশ্নের উত্তর দেখুন।

BATICROM PUBLICATION

গ্রন্থ সহায়ক : উপরিউক্ত সাজেশন্সের পূর্ণাঙ্গ উত্তরপত্র পেতে..... ব্যাটিক্রম হিসাববিজ্ঞান ইজিপ্রেস (৪র্থ খণ্ড) বইটি সংগ্রহ করুন।

জাতীয় বিশ্ববিদ্যালয়ের প্রশ্নাবলি ও উত্তরপত্র

Financial Management (In English); Subject Code : 232513

National University

[BBA Hon's 3rd year; Exam-2019 (Held-22/02/2020)]

(Department of Accounting)

Subject Name : Financial Management (In English)

Subject Code : 232513

Time : 4 hours; **Full marks :** 80

[N.B. Answer the questions from each group chronologically.**]**

Group-A

1. Answer any **ten** questions : $1 \times 10 = 10$

(a) What is business ethics?

Ans : The standards of conduct by which one's actions are judged as right of wrong, honest or dishonest, fair or unfair are ethics.

(b) Define IRR.

Ans : The Internal Rate of Return is the discount rate that equates the sum of the present values of series cash inflows with the initial investment.

(c) What is cost driver?

Ans : Any output measure of resources and activities is called cost driver.

(d) Define marginal cost.

Ans : The additional cost resulting from producing and selling one additional unit is called marginal cost.

(e) What is budget?

Ans : A numerical plan for organizing and controlling the future activities of an organization is called budget.

(f) What is an EPS?

Ans : EPS represents the amount earned during the period on behalf of each outstanding share of common stock.

(g) What is cash dividend?

Ans : If the dividend is paid in the form of cash to the shareholders is called cash dividend.

(h) Define stock split.

Ans : When a company increases its number of equity shares by reducing the face value of its share than it is known as stock split.

(i) What is right shares?

Ans : The equity shares purchased by the existing shareholders under the pre-emptive right is termed as right share.

(j) What is gross working capital?

Ans : Total amount invested in the current assets of a company is termed as gross working capital.

(k) Elaborate BSEC.

Ans : BSEC = Bangladesh Securities and Exchange Commission.

(l) What is Economic Order Quantity (EOQ)?

Ans : The order size associated with minimized cost is called economic order quantity.

Part-B

[Answer any **five** questions.] $4 \times 5 = 20$

2. Discuss the principles of business finance.
[Ans : বেসিক হিসাববিজ্ঞান ইজিপ্লাস (৪র্থ খণ্ড) বইয়ের Page No. 239; Ques. No. 1.04]

3. What do you mean by wealth maximization? ***[Ans : Page No. 253; Ques. No. 1.40]***

4. What is the difference between NOI and NI approach? ***[Ans : Page No. 332; Ques. No. 3.15]***

5. The stock of Maya Company is being sold for Tk. 200. The company wants to issue rights to subscribe for one additional at Tk. 175 for each of 10 held. What will be the theoretical value of (a) a right when the stock is selling rights or (b) Market price of a share when it goes ex-rights? **Solution :** ***Page No-443; Problem No-11***

6. What are the differences between operating lease and financial lease? ***[Ans : Page No. 463; Ques. No. 6.11]***

7. Metro Co. has a policy of maintaining a minimum cash balance of Tk. 1,00,000. The standard deviation of the company's daily cash flows is Tk. 40,000. The annual interest rate is 15%. The transaction cost of buying on selling securities is Tk. 30 per transactions.
Required :
(a) Lower limit
(b) Upper limit
(c) Average cash balance **Solution :** ***Page No-519; Problem No-12***

৮। Cost of an asset is Tk. 25 lakh. A 6 years lease of the asset is proposed to yield 10% return to the lessor ignoring taxes. The salvage value is Tk. 1,00,000. Determine equal lease rental if payments are made quarterly.
Solution : ***Page No-468; Problem No-03***

৯। From the following data show that D/P ratio does not affect the total returns of the share using MM model. Earning per share Tk. 20. **Solution :** *প্রশ্নে পর্যাপ্ত তথ্য দেওয়া নেই, তাই সমাধান করা সম্ভব নয়।*

Part-C

[Answer any **five** questions.] $5 \times 10 = 50$

১০। (a) Define financial management. ***[Ans : Page No. 240; Ques. No. 1.05]***
(b) Discuss social responsibility of financial management. ***[Ans : Page No. 244; Ques. No. 1.17]***

১১। ABC Ltd. has constructed a table, shown below, that gives expected cash inflows and certainty equivalent factors for these cash inflows. These measures are for a new machine with a five year life that requires an initial investment of Tk. 9,50,000. The firm has a 15% cost of capital and the risk free rate is 10% :

Year	CFAT Taka	Certainty equivalent factors
1	4,00,000	1.0
2	4,00,000	0.8
3	4,00,000	0.6
4	4,00,000	0.6
5	4,00,000	0.2

Required :
(a) What is the net present value (unadjusted for risk)?
(b) What is the certainty equivalent net present value? **Solution :** ***Page No-281; Problem No-18***

১২। The two companies U = Unlevered and L = Levered, belong to same risk class. These two firms are identical in every respect except that 'L' company has 10% debentures of Tk. 30 lakhs. The other relevant information are as follows :

Details	Firm U (Tk.)	Firm L (Tk.)
EBIT	6,00,000	6,00,000
Less : Interest	–	3,00,000
Earnings to Equity holders	6,00,000	3,00,000
(÷) Cost of capital (k_e)	0.15	0.20
Market value of equity (S)	40,00,000	15,00,000
(+) Market value of debt (B)	–	30,00,000
Total value of the firm (V)	40,00,000	45,00,000
Overall cost of capital (k_0)	15%	13.33%
Debt equity ratio (B/S)	0	2.00

Assume that an investor hold 10% equity shares of firm L.

(i) Show the arbitrage process and the amount by which he could reduce his outlay through the use of leverage.

(ii) According to Modigliani and Miller, when will this arbitrage process come to an end?

Solution ; ***Page No-362; Problem No-35***

১৩। Sun Ltd. has a cost of equity of 12%, the current market value of the firm is Tk. 25,00,000 @ Tk. 25 per share. Assume values for I (new investment), E (earnings) and D (Dividends) at the end of the year as I = Tk. 14,00,000, E = Tk. 6,00,000 and D = Tk. 2 per share. Show that under the MM assumption, the payment of dividend does not affect the value of the firm. **Solution :** ***Page No-421; Problem No-38***

১৪। The Big Boss Corporation has announced a rights offer to raise Tk. 30,00,000 for a new journal, the journal of financial express. This journal will review potential articles after the author pays a non refundable reviewing fee of Tk. 3,000 per page. The stock is selling Tk. 60 per share currently and there are 2,40,000 shares outstanding.

(i) If the subscription price is set Tk. 50 per share, how many shares must be sold?

(ii) How many rights will it take to buy one share?

(iii) What is the ex-right price?

(iv) What is the value of a right?

(v) Show how a shareholder with 1,000 shares before the offering and no desire to buy additional shares is not harmed by the right offer. **Solution :** ***Page No-457; Problem No-30***

১৫। From the following information presented by a manufacturing company prepare a working capital requirement forecast statement for the next year :

Expected monthly sales 64,000 units at Tk 20 p.u. The anticipated ratios of cost to selling price are :

Raw materials	50%
Labour	30%

Budgeted overheads Tk. 40,000 per week. Overhead expenses included depreciation of Tk. 8,000 per week. Planned stock will include raw materials for Tk. 1,92,000 and 16,000 units of finished goods. Materials will stay in process for 2 week credit allowed to customers is 5 weeks, credit allowed by suppliers is 1 month. Lag in payment of overhead is 2 weeks. 25% of sales may be assumed against cash and cash in hand is expected to be Tk. 1,00,000. Assume that production is carried on evenly throughout the year and wages and overheads accrue similarly. A time period of 4 weeks is equivalent to a month. **Solution :** ***Page No-537; Problem No-29***

১৬। (a) Discuss the advantages and disadvantages of lease ***[Ans : Page No. 461+462; Ques. No. 6.06+6.07]***

(b) Distinguish between lease and purchase. ***[Ans : Page No. 465; Ques. No. 6.18]***

১৭। (a) What is agency conflict? ***[Ans : Page No. 246; Ques. No. 1.22]***

(b) Discuss in brief the various techniques of overcoming agency problem. ***[Ans : Page No. 246; Ques. No. 1.23]***

National University

[BBA Hon's 3rd year; Exam-2020 (Held-28/03/2021)]

(Department of Accounting)

Subject Name : Financial Management (In English)

Subject Code : 232513

Time : 4 hours; **Full marks :** 80

[N.B. Answer the questions from each group chronologically.**]**

Group-A

1. Answer any **ten** questions. $1 \times 10 = 10$

(a) Define financial management.

Ans : Financial management means planning, organizing, directing and controlling the financial activities such as procurement and utilizaton of funds of the enterprise.

(b) What is agency problem?

Ans : The probability conflict of interest between the shareholders and management of a firm is known as agency problem.

(c) Write down the full form of RADR.

Ans : The elaboration of RADR- Risk Adjusted Discount Rate.

(d) What is corporate tax?

Ans : A tax that must be paid by a corporation based on the amount of profit generated. The amount of tax, and how it is calculated, various depending upon the region where the company is located.

(e) What is financial risk?

Ans : Financial risk refers to the additional risk placed on firm's shareholders as a result of debt use in financing.

(f) What is capital structure?

Ans : Capital structure is the proportions of a firm's permanent long term finanang represented by debt, preferred stock and common stock equity.

(g) Define pre-emptive right.

Ans : The privilege of shareholders to maintain their proportional company ownership by purchasing a proportionate share of any new issue of common stock, or securities convertible into common stock.

(h) Give the definition of capital market.

Ans : A market that enables suppliers and demanders of fund and demanders of long term funds to make transactions.

(i) What is payback period?

Ans : The payback period is the time required for the firm to recover its initial investment in a project, as calculated from cash flows.

(j) Elaborate IPO.

Ans : Elaboration of IPO : Initial Public Offering.

(k) What do you understand by mutually exclusive projects?

Ans : A project whose acceptance precludes the acceptance of one or more alternative projects.

(l) What is bonus share?

Ans : Bonus share are additional shares given to the current shareholders without any additional cost, based upon the number of shares that a shareholder owns.

Group-B

[Answer any **five** questions.] $4 \times 5 = 20$

2. Do you think wealth maximization is better than profit maximization concept? Why?

[Ans : ব্যাচেলর হিসাববিজ্ঞান হাইলাইটস (৪র্থ খণ্ড) বইয়ের Page No. 248; Ques. No. 1.25]

3. What do you know about corporate social responsibility (CSR)? ***[Ans : Page No. 244; Ques. No. 1.16]***

4. The City Company Ltd. has two projects. Project A and project B. Project A requires an initial outlay of Tk. 10,00,000 and the expected cash flows of Tk. 2,50,000 each of the next 5 years. Project B requires an initial outlay of Tk. 12,00,000 and the expected cash flows of Tk. 2,80,000 each of the next 5 years. Using payback period method, which project do you recommend for the company? Why?

Solution : ***Page No-274; Problem No-05***

5. Hilary Inc. is proposing a rights offering. Presently the company has 2,40,000 shares outstanding at Tk. 80 each. There will be 60,000 new shares offered at Tk. 60 each.

Required :

(a) What is the new market value of the company?

(b) What is the ex-right price? **Solution :** ***Page No-446; Problem No-16***

6. A company's expected yearly net operating income is Tk. 1,50,000; cost of debt is 10% outstanding debt Tk. 5,00,000. The overall capitalization rate (k_O) is 12%.

Required :

(a) What would be the total value of the firm?

(b) What would be the equity-capitalization rate? **Solution :** ***Page No-342; Problem No-07***

7. What is an optimum capital structure? Mention the features of optimum capital structure.

[Ans : Page No. 329; Ques. No. 3.06+3.07]

8. Show the differences between stock-dividend and stock-split. ***[Ans : Page No. 382; Ques. No. 4.19]***

9. You are given the following information :
Inventory turnover—9 times
Average collection period of account receivables—45 days
Average payment period of account payables—30 days
There are 360 days in a year.
Calculate : (i) Operating cycle; (ii) Cash conversion cycle.
Solution : ***Page No-517; Problem No-10***

Group-C

[Answer any **five** questions.] 5 ×10 = 50

10. (a) Why financial management is important for a business entity? Discuss it.
[Ans : Page No. 243; Ques. No. 1.14]
(b) Discuss in brief the major decisions that a financial manager takes. ***[Ans : Page No. 245; Ques. No. 1.19]***

11. Tahmid Company Ltd. is considering an investment project with expected life of 5 years. The project requires an initial cash out flow of Tk. 1,00,000. The expected cash flows, certainty equivalent co-efficient and present value of Tk. 1@ 10% are as follows :
Solution : ***Page No-287; Problem No-24***

Year	CFAT	Certainty equivalent co-efficient	Present value @ 10%
1	20,000	0.95	0.909
2	60,000	0.80	0.826
3	40,000	0.70	0.751
4	30,000	0.60	0.683
5	15,000	0.50	0.621

The risk free rate of return is 10%. Compute the NPV and IRR. Should the project be accepted or not?

12. The following informations are given to you :

Details	Firm U	Firm L
EBIT	Tk. 2,50,000	Tk. 2,50,000
10% Debt	—	Tk. 7,50,000
k_{eu}	15%	—
Corporate tax	40%	40%
Personal tax	10%	10%
Cost of financial distress of	—	5%

Required :
(a) Value of unlevered firm (V_u)
(b) Value of levered firm (V_L)
(c) Gain from leverage
(d) Cost of financial distress.
Solution : ***Page No-352; Problem No-24***

13. (a) What is common stock? Discuss the features of common stock in brief. ***[Ans : Page No. 430; Ques. No. 5.24+5.25]***
(b) Briefly discuss the functions of capital market. ***[Ans : Page No. 425; Ques. No. 5.05]***

14. The Sun-Moon Company Limited has 5,00,000 shares outstanding at current market price of Tk. 130 per share. The company needs Tk. 20 million to finance the proposed project. The board of the company has decided to issue rights for raising the required money. The subscription (issue) price has been fixed at Tk. 100 per share.
Required :
(a) How many rights required to purchase a new share?
(b) Calculate the price of the share after right issue.
Solution : ***Page No-442; Problem No-10***

15. Rupali Ltd. needs to acquire a new machine costing Tk. 5,00,000. The company has got two alternative methods of financing :
   (i) To take loan from NCC Bank @ 16% interest, payable at the end of each year in equal installment for four years;
   (ii) To take lease from IDLC Ltd. for four years with an annual payment of Tk. 2,20,000 to be paid at the end of each year. Which alternative the company should accept? Assume a 35% corporate tax rate and straight line method of depreciation is applied. **Solution :** ***Page No-482; Problem No-16***

16. As the financial manager of Omega Ltd. you are required to prepare a working capital requirement forecast for producing 30,000 units of products next year. The following informations are provided for the purpose:
   Direct material cost per unit—Tk. 30
   Direct labour cost per unit—Tk. 10
   Overheads (100% of direct labour)
   Profit is 20% of selling price.
   Other information :
   (i) Raw materials are expected to be in stock for an average of 30 days.
   (ii) Processing time is 15 days.
   (iii) Finished goods are expected to remain in the store for 45 days.
   (iv) Credit allowed to debtors for 2 months and credit allowed by the creditors only for 1 month.
   (v) Lag in payment of wages 15 days. **Solution :** ***Page No-542; Problem No-33***

17. (a) Explain the concept of corporate governance. ***[Ans : Page No. 250; Ques. No. 1.31]***
   (b) State the principles of corporate governance. ***[Ans : Page No. 250; Ques. No. 1.32]***

National University

[BBA Hon's 3rd year; Exam-2021 (Held-01/06/2023)]

(Department of Accounting)

Subject Name : Financial Management (In English)

Subject Code : 232513

Time : 4 hours; **Full marks :** 80

[**N. B.** Answer different questions from each group sequentially.]

Group-A

1. Answer any **ten** questions. Mark— 1 × 10 = 10

(a) What is meant by wealth maximization?

Ans : Wealth maximization means maximizing the net present value or wealth of a course of action to shareholders.

(b) What is agency cost?

Ans : The costs borne by the stockholders to maintain a governance structure that maximizes agency problems and contributes to the maximization of owner wealth.

(c) Write down the full form of CAPM.

Ans : Capital Assets Pricing Model.

(d) Define Internal Rate of Return (IRR).

Ans : The Internal Rate of Return is the discount rate that equates the sum of the present values of series cash inflows with the initial investment.

(e) What is operating cycle?

Ans : The time period between the requisition of inventory and the collection of cash from receivables is called operating cycle.

(f) What is lease financing?

Ans : Lease financing is the process by which a firm can obtain the use of certain fixed assets for which it must make a series of contractual, periodic, tax deductible payments.

(g) Define dividend Pay-out ratio (D/P ratio).

Ans : Dividend payout ratio indicates the percentage of company's earnings that paid out to the shareholders in cash. It is calculated by dividing the firm's cash dividend per share by its earnings per share.

(h) Mention the types of firms as directed by Walter Model.

Ans : The types of firms as directed by Walter Model are 1. Growth firm. 2. Normal firm and 3. Declining firm.

(i) Elaborate BSEC.

Ans : BSEC = Bangladesh Securities and Exchange Commission.

(j) What is lease financing?

Ans : Lease financing is the process by which a firm can obtain the use of certain fixed assets for which it must make a series of contractual, periodic, tax deductible payments.

(k) What is meant by net working capital?

Ans : Net working capital refers to the difference between current assets and current liabilities.

(l) Define operating cycle.

Ans : The time period between the requisition of inventory and the collection of cash from receivables is called operating cycle.

Group-B

[Answer any **five** questions.] Mark— 4 × 5 = 20

2. What is agency problem and discuss briefly potential solution of the problem.

[Ans : ব্যাভক্রফ্ট হিসাববিজ্ঞান ইন্টারফেস (৪র্থ খণ্ড) বইয়ের Page No. 246; Ques. No. 1.22+1.23]

3. Define : (a) NPV, (b) ARR ***[Ans : Page No. 260; Ques. No. 2.10+2.11]***

4. Assuming no taxes and given the earning before interest and taxes (EBIT), interest (I) at 10% and equity capitalization rate (k_e) below, calculate total market value of each firm :

Firms	EBIT (Taka)	I (Taka)	k_e
X	2,00,000	20,000	12%
Y	3,00,000	60,000	16%
Z	5,00,000	2,00,000	15%
W	6,00,000	2,40,000	18%

Also determine the weighted average cost of capital for each firm.

Solution : ***Page No-344; Problem No-11***

5. ABC Ltd. an all equity firm expects perpetual EBIT of Tk. 20,00,000 per year. The firm's all equity discount rate is 20%. The firm is subject to a 40% corporate tax rate.

Requirement :

(a) What is the value of ABC Ltd.

(b) If ABC Ltd. issues Tk. 5,00,000 of debt and uses the proceeds to repurchase stock, what will the value of firm be?

Solution : ***Page No-347; Problem No-16***

6. The stock of Nadia Ltd. is selling for Tk. 50 per share. The company then issues right to subscribe to one new share at Tk. 40 for each five right held. Compute the theoretical value of–

(a) A right when the stock is selling right on.

(b) A right when the stock sells ex rights at Tk. 50.

Solution : ***Page No-441; Problem No-08***

7. Following information are available for a company.

D_1 = Tk. 12

k_e = 20%

P_0 = Tk. 200

Required rate of return = 15%

You are required to calculate :

(a) Retention ratio

(b) Earning per share.

Solution : ***Page No-394; Problem No-12***

8. Write down the advantages of lease financing. ***[Ans : Page No. 461; Ques. No. 6.06]***

9. Distinguish between right issue and public offering. ***[Ans : Page No. 428; Ques. No. 5.15]***

Group-C

[Answer any five questions.] Marks — 10 × 5 = 50

(a) Discuss the major Principles of financial management.
[Ans : Page No. 240; Ques. No. 1.06]

(b) How agency problems are dealt with? *[Ans : Page No. 246; Ques. No. 1.23]*

11. You are supplied with the following information of a project :

Initial cash outlay Tk. 5,000. The CFAT and respective probability are given below :

Year-1		Year-2		Year-3	
CFAT (Tk.)	Probability	CFAT (Tk.)	Probability	CFAT (Tk.)	Probability
1,500	0.20	2,000	0.50	2,500	0.10
2,000	0.40	2,300	0.10	3,000	0.30
2,500	0.30	2,500	0.20	3,500	0.30
3,000	0.10	2,800	0.20	5,000	0.30

The rate of cost of capital is 5%

Required :

(a) Calculate expected value of CFAT for each year.

(b) Calculate expected NPV of the project by using cost of capital as the discounting rate.

Solution : *Page No-313; Problem No-53*

12. Dina Ltd. is considering to purchase a new equipment. The net cash flows of the equipment have been estimated as given below. The life of the equipment is estimated to be two year.

	Year-1	Probability	Year-2	Probability
CFAT	10,000	0.4	8,000	0.5
			12,000	0.5
CFAT	12,000	0.6	16,000	0.4
			20,000	0.6

The cost of equipment is Tk. 20,000. The company's cost of capital is 12%. Use the decision tree approach to recommend whether the equipment should be bought or not.

Solution : *Page No-305; Problem No-41*

13. BPD Company's shareholder's equity at December 31, 2020 are given below :

Sources of equity capital	Taka
Common stock (Tk. 100 per, 30,000 shares)	30,00,000
Additional paid up capital	15,00,000
Retained earnings	55,00,000
Shareholder's total equity capital	1,00,00,000

The price of the stock on December 30 was Tk: 500. On that date BPD declared a–

(1) 10% stock dividend

(2) 2 for 1 stock split

(3) 1 for 5 reverse stock split.

What would happen to the accounts for the above conditions.

Solution : *Page No-407; Problem No-27*

14. Messi owns five shares of a company. The market value of each share is Tk. 60. Messi also have Tk. 48 in cash. He has just received a word of a right offering. One new share of stock can be purchased at Tk. 48 for each five shares currently owned (based on five rights).

(a) What is the value of right?

(b) What is the value of Messi's portfolio before right offering?

(c) What is the value of Messi's portfolio if he participate in the right offering?

(d) What is the value of Messi's portfolio if he sales his right?

(e) What is the value of Messi's portfolio if he does not excercise his right.

Solution : *Page No-455; Problem No-28*

15. Omega Ltd. needs to acquire a machine costing Tk. 7,00,000. The company follows straight line method of depreciation. The salvage value of the machine is estimated to be Tk. 50,000 at the end of 5 years. The company can borrow the required sum from a bank at 14% interest. The company can also acquire the machine by taking lease from a leasing company for annual rental of Tk. 1,50,000 to be paid in advance each year for 5 years.
Which alternative should the company accept?

Solution : ***Page No-470; Problem No-07***

16. From the following information prepare a statement showing the estimated working capital requirement :

(i) Annual sales	26,000 units
(ii) Selling price per unit	Tk. 60
(iii) Analysis of selling price :	
Material-40%, Labour-30%	
Overhead-20%, Profit-10%	
(iv) Time lag (on average)	
Raw materials in stock	3 weeks
Production process	4 weeks
Credit to debtors	5 weeks
Credit from suppliers	3 weeks
Lag in payment of wages and overheads	2 weeks
Finished goods are in warehouse	2 weeks
(v) Cash in hand is expected to be 10% of net working capital.	

Solution : ***Page No-530; Problem No-23***

17. One of your clients, Care Ltd. is about to commence a new business and finance has been provided for fixed assets. They have, however, asked you to advise the additional amount which they should make available for working capital. They provide you with the following estimate for their first year and inform you that they have made an arrangement of overdraft limit with their banker of Tk. 1,50,000.

	Average period of credit	Estimate for the first year
Purchase of materials	6 weeks	Tk. 26,00,000
Wages	$1\frac{1}{2}$ weeks	19,50,000
Overheads :		
Rent etc.	6 months	1,00,000
Director's & Managers salaries	1 months	3,60,000
Traveller's and office salaries	2 weeks	4,55,000
Traveller's commission	3 months	2,00,000
Other overheads	2 months	6,00,000
Sales :		
Cash	—	1,40,000
Credit	7 weeks	65,00,000
Average amount of stocks and work-in-progress	—	3,00,000
Average amount of undrawn profit	—	3,10,000

Sales were made at an even rate for the year.
You are required to prepare from the above figures and information, a table for submission to your client, giving an estimate of the average amount of working capital which they should make available.

Solution : ***Page No-548; Problem No-38***

National University

[BBA (Hon's) 3rd year; Exam-2022 (Held-14/05/2024)]

(Department of Accounting)

Subject Name : Financial Management (In English)

Subject Code : 232513

Time : 4 hours; **Full marks :** 80

[**N. B.** Answer different questions from each group sequentially.]

Group-A

1. Answer any **ten** questions. Mark— $1 \times 10 = 10$

(a) What is financial management?

Ans : Financial management means planning, organizing, directing and controlling the financial activities such as procurement and utilization of funds of the enterprise.

(b) What is right share?

Ans : The equity shares purchased by the existing shareholders under the pre-emptive right is termed as right share.

(c) Write down the full form of RADR.

Ans : The elaboration of RADR- Risk Adjusted Discount Rate.

(d) What is corporate tax?

Ans : A tax that must be paid by a corporation based on the amount of profit generated. The amount of tax, and how it is calculated, various depending upon the region where the company is located.

(e) What is levered firm?

Ans : A firm that used debt in its capital structure. The term often refers to firms that have a large percentage of debt relative to equity when compared against peers in the same industry.

(f) What is stock split?

Ans : When a company increases its number of equity shares by reducing the face value of its share than it is known as stock split.

(g) What is flotation cost?

Ans : The costs associated with issuing securities such as underwriting' legal' listing' and printing fees are called flotation costs.

(h) What is financial risk?

Ans : Financial risk refers to the additional risk placed on firm's shareholders as a result of debt use in financing.

(i) What is bond refunding?

Ans : Bond refunding is the paying off high-interest rate bond with new lower-interest bond.

(j) What is indifference point?

Ans : Indifference point is the level of EBIT where EPS is the same of two alternatives.

(k) What is IPO?

Ans : When a company issues ordinary share to the public for the first time then it is known as initial public offering.

(l) What is net working capital?

Ans : Net working capital refers to the difference between current assets and current liabilities.

Group-B

[Answer any **five** questions.] Mark— $4 \times 5 = 20$

2. Discuss the corporate finance.

[Ans : সাজেশন্স হিসাববিজ্ঞান ইন্ডেক্সেস (৪র্থ খণ্ড) বইয়ের **Page No. 251; Ques: No. 1.33]**

3. Discuss the characteristics of optimal capital structure. ***[Ans : Page No. 333; Ques. No. 3.21]***

4. Micro system is evaluating a Tk. 50,000 project with the following cash flows :

Year	Cash flows
1	9,000
2	12,000
3	18,000
4	16,000
5	24,000

The coefficient of variation for project is 0.726

Based on the following table of the risk-adjusted discount rates. Should the project be under taken? Select the appropriate discount rate and the compute the net present value :

Coefficient of variation	Discount rates
0 – 0.25	6%
0.26 – 0.50	8%
0.51 – 0.75	12%
0.76 – 1.00	16%
1.01 – 1.25	20%

Solution : ***Page No-279; Problem No-15***

5. The ABIR and Co's expected earnings before interest and taxes (EBIT) is Tk. 50,000. The Co. has 10% debt of Tk. 2,00,000. The equity capitalization rate (k_e) of the company is 12.50%. The number of common stock of the company is 2,000.

Required :

(i) Find out the total value of the firm.

(ii) Find out the overall cost of capital of the firm.

(iii) Determine the market value per share.

Solution : ***Page No-341; Problem No-06***

6. The following information relate to XYZ Co. Ltd.

P/E Ratio = 5 times.

EPS = Tk. 25

DPS = Tk.15

Required rate of return = 10%.

Using Gordon model you required to calculate :

(i) Capitalization rate (k_e).

(ii) Dividend pay out ratio.

(iii) Market price per share.

Solution : ***Page No-398; Problem No-19***

7. Arman Food Co. Ltd is concerned about managing cash efficiently. On the average, inventories have an average age of 90 days and accounts receivable are collected in 60 days. Accounts payable are paid approximately 30 days after they arise. The firm spends Tk. 30 million on operating cycle investments each year, at a constant rate. Assuming a 360 days year :

Required :

(a) Calculate the firm's operating cycle.

(b) Calculate the firm's cash conversion cycle.

(c) Calculate the amount of negotiated financing required to support the firm's cash conversion cycle.

Solution : ***Page No-517; Problem No-09***

8. Briefly discuss the functions of capital market. ***[Ans : Page No. 425; Ques. No. 5.05]***

9. What are the differences between operating lease and financial lease? ***[Ans : Page No. 463; Ques. No. 6.11]***

Group-C

[Answer any **five** questions.] Marks — 10 × 5 = 50

10. (a) Discuss different types of dividend policy. ***[Ans : Page No. 377; Ques. No. 4.04]***
    (b) Differentiate between private replacement and public issue. ***[Ans : Page No. 433; Ques. No. 5.34]***
11. (a) What is agency problem? How can it minimized? ***[Ans : Page No. 246; Ques. No. 1.22+1.23]***
    (b) Briefly discuss the importance of corporate social responsibility of a business. ***[Ans : Page No. 244; Ques. No. 1.18]***
12. (a) Discuss different methods of lease. ***[Ans : Page No. 461; Ques. No. 6.05]***
    (b) Distinguish between lease and purchase. ***[Ans : Page No. 465; Ques. No. 6.18]***
13. (a) Define working capital management. ***[Ans : Page No. 506; Ques. No. 7.23]***
    (b) Why it is important to study the management of working capital as a separate area in financial management? ***[Ans : Page No. 507; Ques. No. 7.27]***
14. Today technology is considering investment in one of the mutually exclusive projects-A and B. The cost of capital (k) is 15% and the risk free rate (R_F) is 10%. The firm has gathered the following basic cashflow and risk index data each project :

Particulars	Projects	
	A Taka	B Taka
Initial investment	15,000	11,000
Cash inflows years		
1	6,000	6,000
2	6,000	4,000
3	6,000	5,000
4	6,000	2,000
Risk index	1.5	1.8

Required :
(a) Find the net present value (NPV) of each project using the firms cost of capital.
(b) (i) Which project is acceptable? (ii) Determine RADR using CAPM.
Solution : ***Page No-322; Problem No-64***

15. Kana Kata Ltd. has the following capital structure :

Particulars	Taka
Equity (Tk. 10 per share)	10,00,000
10% Debt	5,00,000
Total capital	15,00,000

The company wishes to raise Tk. 5,00,000 for expansion programms. The following alternative are available :
(i) 100% equity
(ii) 50% equity and 50% debt at 12%
(iii) 100% debt at 12%
The expected EBIT is Tk. 2,00,000. The tax rate is 40%.
Required :
(i) Calculate the EPS and which one would you prefer.
(ii) Also calculate the indifference EBIT between alternative (i) and (ii).
Solution : ***Page No-366; Problem No-40***

16. From the following information of Bishal Center Ltd. forecast working capital requirement :
    (a) Annual expected sales Tk. 1,80,000.
    (b) Elements of cost (as % of sales)
    Materials 50%
    Direct labor 25%
    Overheads 15%
    Profit 10%

(c) Raw materials in store average 1 month.
(d) Work-in-progress average 2 months
(e) Finished goods remain in store average 2 months.
(f) Credit allowed by creditors average $1\frac{1}{2}$ months.
(g) Lag in payment of wages and overheads average 1 month.
(h) Minimum cash balance of Tk: 25,000 is expected to be maintained. It is assumed that production is carried on evenly throughout the year and wages and overheads accrue similarly.

Solution : ***Page No-532; Problem No-25***

17. Orchid Co. Ltd needs to require a new machine costing Tk. 8,00,000. There are two alternative way of financing.
(i) To take loan from Sonali Bank PLC @ 10% interest payable at the end of each year in equal installment for 4 years.
(ii) To take lease IDLC Ltd. for 4 years with annual payment of Tk. 2,20,000 to be paid at the end of each years.
Required : Which offers the company should accept? Assume the corporate tax rate is 35% and SLM of depreciation is applicable. **Solution :** ***Page No-475; Problem No-11***

National University

[BBA (Hon's) 3rd Year; Exam-2023 (Held in-18/05/2025)]
(Department of Accounting)
Subject Code : 232513
Subject Name : Financial Management (In English)
Time : 4 hours; **Full marks :** 80
[**N.B.** Answer different questions of each group chronologically.]

Part-A

1. Answer any ten questions : $1 \times 10 = 10$

(a) What is corporate finance?
Ans : The financial activity of corporation is called corporate finance.

(b) Elaborate BSEC.
Ans : The elaborating of BSEC- Bangladesh Securities and Exchange Commission.

(c) What is mutually exclusive project?
Ans : A project whose acceptance precludes the acceptance of one or more alternative projects.

(d) What is cash conversion cycle?
Ans : The flow of cash from purchase of inventory to production, from production to sell of goods and collection of receivables and again purchase or raw material can be termed as the cash conversion cycle.

(e) What is agency problem?
Ans : The probability conflict of interest between the shareholders and management of a firm is known as agency problem.

(f) What is stock dividend?
Ans : Stock dividend is paid in the form of the company stock due to raising of more finance.

(g) What is optimum capital structure?
Ans : Optimal capital structure is the capital structure that minimizes the firm's cost of capital and there by maximizes the value of the firm.

(h) What is lease financing?
Ans : Lease financing is the process by which a firm can obtain the use of certain fixed assets for which it must make a series of contractual, periodic, tax deductible payments.

(i) Define IRR.
Ans : The Internal Rate of Return is the discount rate that equates the sum of the present values of series cash inflows with the initial investment.

(j) Give the definition of capital market.
Ans : Capital market is the market for relatively long-term financial instruments.

(k) What is arbitrage?

Ans : Arbitrage means finding two assets that are essentially the same, buying the cheaper and selling the more expensive.

(l) What is pre-emptive right?

Ans : The privilege of shareholders to maintain their proportional company ownership by purchasing a proportionate share of any new issue of common stock, or securities convertible into common stock.

Part-B

[Answer any **five** questions.] Marks : 4 × 5 = 20

2. Discuss different types of working capital in brief.
[Ans : ব্যাতিক্রম হিসাববিজ্ঞান ইন্টেলেক্টস (৪র্থ খণ্ড) বইয়ের Page No. 499; Ques. No. 7.04]

3. What do you mean by wealth maximization? ***[Ans : Page No. 253; Ques. No. 1.40]***

4. Show the difference between risk and uncertainty. ***[Ans : Page No. 264; Ques. No. 2.27]***

5. How many factors influencing financial decision? ***[Ans : Page No. 253; Ques. No. 1.41]***

6. Maha Ltd. is proposing a right offering. Presently the company has 2,00,000 shares outstanding at Tk. 80 each. There will be 50,000 new shares offered at Tk. 60 each.
Required :
(a) What is the new market value of the company?
(b) What is the ex-right price? **Solution :** ***Page No-445; Problem No-15***

7. ABC car Ltd. is faced with a decision to acquire on lease a mini car. The cost of mini car is Tk. 3,00,000. It has a life of 5 years. The leasing company desire a return of 12% on the gross value of the asset.
Find out lease rental installment if—
(i) To be paid at the beginning of each year.
(ii) To be paid at the end of each year. **Solution :** ***Page No-469; Problem No-05***

8. Following information are available for a company :
Market price per share Tk. 250; EPS- Tk. 18.75; DPS- Tk. 7.50; Price earning ratio (P/E)- 4 times.
Required (using Walter model)
(i) Cost of equity (k_e);
(ii) Dividend payout ratio;
(iii) Retention ratio;
(iv) Internal rate of reinvestment (r). **Solution :** ***Page No-395; Problem No-14***

9. Ariha Ltd. considering two mutually exclusive project. Project A and project B. Project A requires an initial outlay of Tk. 40,000 and the expected cash inflows of Tk. 10,000 each of the next 5 years. Project B requires an initial outlay of Tk. 50,000 and has an expected cash inflows of Tk. 13,000 for each of the next 5 years. Use pay back period method which project do you recommend for the company.
Solution : ***Page No-274; Problem No-04***

Part-C

[Answer any **five** questions.] Marks : 10 × 5 = 50

10. (a) Discuss the importance of financial management. ***[Ans : Page No. 243; Ques. No. 1.14]***
(b) Discuss the three major decisions that financial manager must take. ***[Ans : Page No. 245; Ques. No. 1.19]***

11. (a) What is capital market? Briefly discuss various types of capital market.
[Ans : Page No. 424+425; Ques. No. 5.01+5.02]
(b) Briefly discuss the role of Security Exchange Commission (SEC) for capital market in Bangladesh.
[Ans : Page No. 434; Ques. No. 5.39]

12. XYZ company Ltd. is considering an investment project with expected life of 5 years. The project requires an initial cash outflow of Tk. 1,00,000. The expected cash flows, certainty equivalent co-efficient and present value of Tk. 1 @ 10% are as follows :

Year	CFAT	Certainty equivalent co-efficient	Present value @ 10%
1	Taka 20,000	0.95	0.909
2	60,000	0.80	0.826
3	40,000	0.70	0.751
4	30,000	0.60	0.683
5	15,000	0.50	0.621

The risk free rate of return is 10%. Compute the NPV and IRR. Should the project be accepted or not?

Solution : ***Page No-287; Problem No-24***

13. The two companies L = Levered and U = Unlevered, belong to same risk class. The following information are available from the L and U companies :

Details	L	U
EBIT	Tk. 3,30,000	Tk. 3,30,000
10% Debt	Tk. 5,00,000	
k_{eu}		22%
Corporate tax rate	30%	30%
Personal tax rate	20%	20%
Interest tax rate	20%	20%
Cost of financial distress	4.5%	

Instructions : Compute

(a) Value of U

(b) Gain from leverage

(c) Cost of financial leverage

(d) Value of L. **Solution :** ***Page No-351; Problem No-23***

14. Tama Ltd. has a cost of equity of 12% current market value of the firm (V) is Tk. 20,00,000 @ Tk. 20 per share. Assume values for I (new investment), E (earnings) and D (dividends) at the end of the years as I= Tk. 6,00,000, E= Tk. 2,00,000 and D= Tk. 1.00 per share. Show that under MM assumptions the payment of dividend does not affect the value of the firm. **Solution :** ***Page No-416; Problem No-34***

15. Susmita Inc. is proposing a rights offering. Presently they have 2,40,000 shares outstanding at Tk. 100 each. There will be 60,000 new shares offered at Tk. 80 each.

Required :

(a) How many rights needed to purchase one new share?

(b) What is the ex-right price?

(c) What is the value of a right?

(d) Why might a company have a right offerings rather than a general cash offer?

Solution : ***Page No-446; Problem No-17***

16. Ayesha is to decide whether a computer is to be purchased through 12% borrowing or to be acquired on lease rent basis. The price of the computer is Tk. 3,00,000. It's annual maintenance cost Tk. 25,000 per year and expected life is 5 years. Tax rate is 40% and straight line method of depreciation is allowable. The salvage value of the computer is Tk. 50,000. In case of leasing, annual lease rental is Tk. 1,00,000 for 5 equal annual installment inoluding maintenance cost Tk. 25,000 and maintenance cost to be borne by lessor. If the installation is given at beginning of the year for both lease and buy option. Which alterative is best for Ayesha?

Solution : ***Page No-491; Problem No-22***

17. From the following information prepare a statement showing the estimated working capital requirement :

(i) Projected annual sales	27,000 units
(ii) Selling price per unit	Tk. 80
(iii) Analysis of selling price :	
Materials 40%, Labour 30%,	
Overhead 20%, Profit 10%	
(iv) Time lag (on average)	
Raw materials in stock	4 Weeks
Production process	3 Weeks
Credit to debtors	5 Weeks
Credit from suppliers	3 Weeks
Finished goods are in warehouse	2 Weeks
Lag in payment of wages and overheads	2 Weeks
(v) Cash in hand is expected to be 10% of net working capital.	

Solution : ***Page No-531; Problem No-24***

National University

[BBA Hon's 3rd Year; Exam-2024 (Held on- 18/01/2026)]

(Department of Accounting)

Subject Code : 232513

Subject Name : Financial Management (In English)

Time : 4 hours; **Full marks :** 80

[**N.B.** Different parts of each question must be written consecutively.]

Part-A

1. Answer any ten questions : $1 \times 10 = 10$

(a) What is business ethics?

Ans : The standards of conduct by which one's actions are judged as right or wrong, honest or dishonest, fair or unfair in the business environment.

(b) What is tax shield?

Ans. A tax deductible expense. The expense protects (Shields) an equivalents taka amount of revenue from beings taxed by reducing taxable income.

(c) What is corporate social responsibility?

Ans : Corporate social responsibility is a business outlook that acknowledges a firms responsibilities to its stakeholders and natural environment.

(d) Elaborate CAPM.

Ans : The full form of CAPM is Capital Assets Pricing Model.

(e) What is risk?

Ans : Risk may be defined as the variability of possible outcomes from a project.

(f) What is dividend payout ratio?

Ans : Dividend payout ratio indicates the percentage of Company's earnings that paid out to the shareholders in cash.

(g) What is Stock Splits?

Ans : When a company increases its number of equity shares by reducing the face value of its share than it is known as stock split.

(h) What is flotation costs?

Ans : The costs associated with issuing securities such as underwriting, legal, listing and printing fees are called flotation costs.

(i) Define Initial Public Offering (IPO).

Ans : When a company issues ordinary share to the public for the first time then it is known as initial public offering.

(j) What is self liquidating approach?

Ans : A self-liquidating approach is a financial or marketing strategy where an investment, project or acquisition cost is repaid or covered by the revenue it generates itself.

(k) What is bird-in-hand theory?

Ans : The bird-in-hand theory holds that the firm's value will be maximized by a high dividend payout ratio, because investors regard cash dividends as being less risky than potential capital gains.

(l) What is sale and lease back?

Ans : Under the sale and lease back arrangement, the firm sells an asset that it owns and then leases to same asset back from the buyer.

Part-B

[Answer any **five** questions.] Marks : 4 × 5 = 20

2. Show the difference between profit maximization and wealth maximization.
[Ans : ব্যবস্থাপনা হিসাববিজ্ঞান ইন্টারপ্রেস (৪র্থ খণ্ড) বইয়ের Page No. 248; Ques. No. 1.26]
3. What are the techniques of capital budgeting? ***[Ans : Page No. 259; Ques. No. 2.06]***
4. Show the differences between bond and common stock. ***[Ans : Page No. 433; Ques. No. 5.33]***
5. Briefly explain the financial signaling of dividend policy. ***[Ans : Page No. 382; Ques. No. 4.17]***
6. Nayeem Company estimates that it can save Tk. 28,000 a year in cash operating costs for next 10 years if it buys a machine at cost Tk. 1,10,000. No residual value is expected. Assume that income tax rate is on an average 30% of taxable income. Compute the payback period. **Solution :** ***Page No-275; Problem No-07***
7. Rahat Life Insurance Company. Ltd. has Tk. 10,00,000 Debt in its present capital structure. Their expected net operating income is Tk. 5,90,000. Rate of interest is 6%. Cost of equity capital is 13%.
Compute the :
   1. Market value of the company.
   2. Overall cost of the capital (By applying NI approach.)

Solution : ***Page No-607; Question No-07***

8. Nusaiba Company earns Tk. 6 per share is capitalized at a rate of 10% and has a rate of return on investment of 22%. According to Walter's model what should be the price per share at 25% dividend payout ratio?
Solution : ***Page No-391; Problem No-06***
9. A trading firm's accounts receivable are collected after 45 days; inventories have an average holding period of 75 days and creditors payment period on an average is 30 days. The firm spends Tk. 120 lakh annually and has an opportunity cost of 10%. Compute savings by reducing average inventory holding period by 30 days.
Solution : ***Page No-607; Question No-09***

Part-C

[Answer any **five** questions.] Marks : 10 × 5 = 50

10. (a) Define the notion of arbitrage. ***[Ans : Page No. 328; Ques. No. 3.04]***
    (b) How agency problems are dealt with? ***[Ans : Page No. 246; Ques. No. 1.23]***
11. (a) What are the objectives of lease financing as organized in Bangladesh? ***[Ans : Page No. 464; Ques. No. 6.14]***
    (b) What factors affect dividend policy? ***[Ans : Page No. 377; Ques. No. 4.05]***
12. Zarir Company is considering two mutually investment proposals. Their expected cash flows streams (CFAT) are given below :

Year	Proposal-A (Tk. in thousand)	Proposal-B (Tk. in thousand)
0	(500)	(700)
1	140	100
2	140	110
3	140	130
4	140	150
5	140	160
6	140	150
7		120
8		120
9		110
10		100

বিবিএ (হিসাববিজ্ঞান) হাজিরা (অনার্স ৩য় বর্ষ)-২৬(ক)

The company employs the risk adjusted method of evaluating risky project and selects the appropriate required rate of return as follows :

Projected pay back	Required rate of return
Less than 1 year	8%
1 to 5 years	10%
5 to 10 years	12%
Over 10 years	15%

You are asked to select the better proposal for the company. **Solution :** ***Page No-609; Question No-12***

13. Ahmed Ltd. has the following capital structure :

Account titles	Amounts (Tk.)
Equity (Tk. 100 per share)	10,00,000
12% Debt	5,00,000
Total capital	15,00,000

The company wishes to raise Tk. 5,00,000 for expansion programs. The following alternatives are available :
(i) 100% equity
(ii) 50% equity and 50% debt at 12%
(iii) 100% debt at 12%.
The expected EBIT is Tk. 20,00,000 the tax rate is 40%. Calculate the EPS and which one would you prefer. Also calculate the indifference EBIT between alternatives (i) and (ii). **Solution :** ***Page No-364; Problem No-39***

14. Nova Company is ready for pilot production and test marketing of an electric moped. It will cost Tk. 20 million. Management believes that there is 70% chance that pilot production and test marketing will be successful. In case of success, Nova can build a plant costing Tk. 150 million. The plant will generate an annual cash inflow of Tk. 30 million for 20 years if demand is high or an annual cash inflow of Tk. 20 million if demand is low. High and low demand has probability of 0.6 and 0.4 respectively. Assume a discount rate of 12%.
Suggest the optimal course of action using decision tree analysis. **Solution :** ***Page No-611; Question No-14***

15. RIPA owns five shares of LILY corporation. The market value of stock is Tk. 60. RIPA also have Tk. 48 in cash. She has received a right offering one new share of stock can be purchased at Tk. 48 for each five shares held.
(a) What is the value of rights?
(b) What is value of after rights per share?
(c) What is value of RIPA's portfolio before right offering?
(d) What is value of RIPA's portfolio if she participates in right offering?
(e) What is value of RIPA's portfolio if she sells her rights? **Solution :** ***Page No-455; Problem No-28***

16. A company needs to acquire an equipment that will cost Tk. 3,35,200. The company has two alternatives to finance the equipment.
(a) To take lease from united Leasing Company for 5 years with an annual lease payment of Tk. 1,20,000 to be paid at the end of each year.
(b) To take loan from Sonali Bank PLC at 15 percent interest p.a. repayable annually at the end of each of the 5 years in equal installments. The equipment will be depreciated on straight line basis. Corporate tax rate is 40 percent. Which offer the company should accept? Why? **Solution :** ***Page No-471; Problem No-08***

17. The cost accountant provided with the following information about production cost and other related issues of a company. As the financial manager of the company you are required to calculate the working capital requirement :
Expected monthly sales 32,000 units @ Tk. 10 per unit. The anticipated ratio of cost on selling price are :
Raw materials 40%
Labour 30%
Budgeted overhead Tk. 16,000 per week overhead expenses include depreciation of Tk. 4,000 per week.
Planned stock will include raw materials for Tk. 96,000 and 16,000 units of finished goods.
Other information :
(i) Materials will stay in process for 2 weeks.
(ii) Credit period allowed to account receivable 5 weeks.
(iii) Credit period by suppliers 1 month.
(iv) Lag in payment of overhead 2 weeks.
(v) Cash in hand and Bank balance is expected to Tk. 25,000.
Assume that production is carried on evenly throughout the year. Wages and overheads occur similarly. A time period of 4 weeks is equivalent to a month. **Solution :** ***Page No-539; Problem No-30***